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SECTION I—INTRODUCTION

1.1. ORGANIZATIONAL BACKGROUND

ASER Construction P.L.C is a locally registered company, which has obtained Investment Registration by the investment office. ASER Construction is are glistered as Grade 1 General Contractor(GC1)by Ministry of Urban Development & Construction on a capacity which enables it to perform any construction task including Road and Building construction works. ASER Construction is also registered as Grade 1 Water Works General Contractor (WC -1) by Ministry of Water Resources, Irrigation &Energy.

ASER Construction is established with the purpose to create a customer oriented business that takes the present market and construction technology in to consideration.

ASER Construction have organized staff: skilled &semi-skilled man power consists of Engineers, Technicians,Foremen,Administration staff &other required semi-skilled man power with experience in the construction ofcivilworks in order toimplementits longtermvision.

ASER Construction is equipped with sufficient equipment & machinery, both heavy and light duty that enable it to under take large scale projects ofany kind. Itisalso equipped within house maintenance facility and trained maintenanceteams.

The company has executed to pof the line Waste Water treatment, Dams, Road, Bridge, and Airfield works since its establishment.

BUSINESSFUNCTIONS

Thecompanyisestablishedto performthefollowingmajorduties:-

- Theconstructionofroads, bridgesandairfields,

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- ☐ The construction of dams, irrigation systems and tunnels,
- ☐ The construction of city drainage and sewerage system and waste water treatment plants and other municipal civil works,
- ☐ The construction of high rise building
- ☐ The construction of car parking
- ☐ The construction of residential, commercial, industrial and warehouses buildings.
- ☐ The construction of power project
- ☐ Production and sales of construction materials.

VISION

- ☐ To Be a Leading, Effective & Preferred International General Contractor

MISSION

- ☐ Participate in large scale transport, water work & building construction in domestic market & playing its part in the nation's development by insuring timely completion and acceptable quality;
- ☐ Insure customer satisfaction and building trust;
- ☐ Insure continuous improvement in quality and production by building company production capability;
- ☐ Insure continuous profitability

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1.2. OVERVIEW OF THE MANUAL

Through Proclamation Number 847/2014, The Federal Democratic Republic of Ethiopia has promulgated the “Financial Reporting Proclamation” requiring companies to use International Financial Reporting Standards (IFRS) as their financial reporting framework.

The Accounting and Auditing Board of Ethiopia (AABE) has thus enforced all public interest entities, which ASER Construction P.L.C (ASER) is part of, to fully implement and comply with the requirements of International Financial Reporting Standards for the fiscal period beginning Hamle 01, 2009 E.C. To this effect ASER will produce its first IFRS compliant financial reports by Sene 30, 2010 E.C.

This Accounting Policies and Reporting Practices Manual is prepared in consideration of the gap analysis performed between the prevailing financial reporting framework and the requirements of IFRS for transactions that are peculiar to the company. It is aimed at setting policies and providing guide lines in the classification, recognition, measurement, presentation and disclosure of the elements of financial statements of ASER Construction P.L.C (ASER). This manual supersedes the existing GAAP-based financial reporting policy and practice in the Company.

As the guide lines offered by this document require, ASER fully adopts and complies with the relevant IFRSs as issued by the International Accounting Standards Board (IASB) owing to the fact that the Financial Reporting Proclamation requires the Company to produce and report its financial dealings per IFRS as issued by the IASB.

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ASER's Management selected and applied the organization's accounting policies so that the financial statements comply with all the requirements of each applicable IFRS and Legal frameworks. Where there is no specific requirement, management should develop policies to ensure that the financial statements provide information that is:

(A) Relevant to the decision making needs of primary users; and

(B) Faithfully representative, that:

- ☐ represent faithfully the financial performance and position;
- ☐ reflect the economic substance of events and transactions over their form;
- ☐ Is neutral; and
- ☐ Is complete in all material respects.

This manual is also intended to provide guide lines that enhance the usefulness in general and understandability and comparability in particular of financial statements of ASER so that the common needs of all users of these statements are met.

1.3. OBJECTIVE OF THE ACCOUNTING POLICY MANUAL

Accounting policies are a set of standards that govern how a company prepares its financial statements. These policies are used to deal specifically with complicated accounting practices such as recognition, measurement, presentation and disclosures of various elements of the financial statements.

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The objective of this manual is to head start a standard set of accounting and financial reporting policies to ASER as per IAS8. The accounting policies and reporting practice manual will serve as a basic framework and will ensure:

- consistent policies and procedures across the company;□
compliance with accounting standards;
- Financial statements are produced with accuracy and reliability;
- proper communication for new personnel and existing employees;and
- Effective internal controls over accounting and financial reporting.

To this effect, the manual selects and applies IFRS standards that are relevant in the context of the company. In events where there are no applicable IFRS standards for specific transactions, other events and conditions, IAS8 hierarchy is employed.

1.4. SCOPE OF THE MANUAL

As a policy document, this manual is not expected to be an exhaustive list of all financial and reporting policies. It is however, intended to provide a standard accounting guidance and practice to be adopted in preparing IFRS compliant financial reports.

It is expected that this manual should complement such policies of the company as sales policies, credit policies, procurement policies, HR policies and other policies that interface with the accounting and reporting policies.

1.5. REVISION OR AMENDMENT OF THE MANUAL

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In producing this manual, every attempt has been made to cover important areas through discussions and validation with the management and key finance staff of ASER. It is, however, possible that, due to changes in the operation of the entity or new developments in regulatory environment, particular policies or procedures may be found not applicable or inconsistent with other policies, hence will require review and amendment every other year at a minimum. Revision and update of specific policies and procedures of the manual can be made at any time when such changes are found to be necessary to enhance efficiency of the financial reporting environment of ASER. Any proposed change or amendment to the policy should be reviewed and approved by the top management of the company.

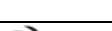
1.6. IMPLEMENTATION OF THE MANUAL

This Manual shall be fully implemented by the finance staff at all levels of the finance structure of ASER effective from the date of its approval by senior management and Board of Directors. From the date of approval, all staff shall be required to formally adhere to the provisions indicated in the manual. Any misapplication or non-use of the policies and procedures stated in the manual shall not be acceptable by the company.

1.7. CUSTODY OF THE MANUAL

- ☐ Each copy of the Manual shall have a serial number.
- ☐ The Finance Process Team Leader shall maintain a record of the copies of the manual.
- ☐ Recipients of the Manual shall sign the record confirming receipt.

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☐ Any recipient of the copies of the manual will not remove, amend or photocopy any part of the Manual without the approval of Finance Process Team Leader.

☐ This Manual should always be kept in a safe place.

☐ Contents of the Manual are confidential and are intended for internal use only.

Under no circumstances may the contents of this Manual be revealed to third parties without the express written permission of the Finance Process

Team Leader.

SECTION II - FINANCIAL REPORTING

2.1. OVERVIEW

Financial reporting is the primary means through which ASER communicates its financial and operational performance to its stakeholders. This means that ASER will issue financial reports to support decision making by the primary users of its financial reports and management as well as for statutory purposes to the regulatory bodies such as Accounting and Audit Board of Ethiopia.

These financial reports are presented as statements and will include notes to the financial statements that provide information about the company's operating history as quantified in monetary and activity terms.

2.2. THE REPORTING FRAMEWORK

ASER's financial reporting shall be prepared in accordance with International Financial Reporting Standards (IFRS) in consideration of the Federal Democratic Republic of

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Ethiopia's Financial Reporting Law (Proclamation No. 847/2014) and other relevant proclamations and regulations.

Financial statements should provide users with relevant and timely information to assess the financial performance, financial position and cash flows of accompany. ASER shall prepare financial statements, on regular basis, to meet the requirements of various stake holders.

2.3. TYPES OF FINANCIAL STATEMENTS

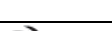
The financial statements include separate financial statements for ASER as an individual entity. As per IAS 1.10, ASER's complete set of general-purpose financial statements comprises:

1. Statement of Financial Position

- Nature: This statement depicts the financial position of the company by recording the values of the business's asset and liabilities as at the reporting date.
- Frequency of Reporting: Annually and Quarterly (if required)
- ASER Construction P.L.C presents its assets and liabilities in the Statement of Financial Position by classifying them into current and non-current in accordance with IAS 1.63.

2. Statement of Profit or Loss and Other Comprehensive Income

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- Nature: This statements hows the financial performance of the operating activities of the entity for a specific period of time.
- Frequency of Reporting: Annually and Quarterly (if required)
- ASER Construction P.L.C shall present a single statement of Profit or Loss and Other Comprehensive Income. In order to provide information that is reliable and more relevant, ASER presents an analysis of its expenses recognized in profit or loss using a classification based on their function

Within the entity.

3. Statement of Cash Flows

- Nature: This statement shows the cash position of the company for a specific period of time represented by cash inflows and outflows.
- Frequency of Reporting: Annually and Quarterly (if required)

4. Statement of Changes in Equity

- Nature: This statement shows the movements in capital, accumulated profits and reserves during a fiscal period.
- Frequency of Reporting: Annually and Quarterly (if required)

5. Notes, comprising a summary of significant accounting policy and other Explanatory notes.

6. Comparative information in respect of the preceding period for all amounts reported in the current period's financial statements.

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Per the requirements of IAS1.51,ASER shall identify each financial statement and the notes.

In addition, an entity shall display the following information prominently for the information presented to be understandable (see Annex #1):

- a) “ASER Construction P.L.C” as the name of the reporting entity.
- b) Whether the financial statements are of an individual entity or a group of entities.
- c) The date of the end of the reporting period or the period covered by the set of financial statements or notes. (“As at Sene 30, 20XX” for Statement of Financial Position and Notes to the financial statements and “For the year ended Sene 30, 20XX” for other statements).
- d) “Ethiopian Birr (ETB)” as the presentation currency. e)

Rounded to the nearest thousands of Ethiopian Birr.

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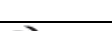
If ASER is required to publish an interim financial report by Accounting and Audit Board of Ethiopia (AABE), the company prepares interim reports in accordance with IAS34. By complying with such requirement, ASER elects to produce a condensed set of financial statements in the interest of avoiding duplication of effort and saving time. (IAS34.6)

2.4. ELEMENTS OF THE FINANCIAL STATEMENTS

Financial statements portray the financial effects of transactions and other events by grouping them into broad classes according to their economic characteristics. These broad classes are termed the elements of financial statements. The elements directly related to the measurement of financial position in the balance sheet are assets, liabilities and equity. And the elements directly related to the measurement of performance in the income statement are income and expenses.

- **ASSETS:** Probable future economic benefits obtained or controlled by the ASER as a result of past transactions or events. For example, plants, machinery, lands, vehicles, inventories, receivables etc.
- **LIABILITIES:** Probable future sacrifices of economic benefits arising from present obligations of ASER to transfer assets or provide services to other entities in the future as a result of past transactions or events. For example, trade payable to vendors, accrued payments to employees, taxes collected on behalf of tax authority etc.

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- **EQUITY:** Residual interest in the assets of the company that remains after deducting its liabilities. This includes state capital, retained profit for appropriation and other statutory reserves of the company such as legal reserves.
- **INCOME:**Increases in economic benefits during the accounting period in the form of inflows or enhancements of assets that result in increases inequity, other than those relating to contributions from equity participants.
- **EXPENSES:**Decreases in economic benefits during the accounting period inthe form of out flows or depletions of assets or incurring liabilities that result indecreases inequity,other than those relating to distributions to equity participants.
- **GAINS:**Increases in equity(net assets) from peripheral or incidental transactions of anentity and from all other transactions and other events and circumstances affecting the entity duringa period excluding those that result from revenues or investment by owners.
- **LOSSES:** Decreasesin equity(net assets) from peripheralor incidental transaction so fanentity and from all other transactions and other events and circumstances affecting the entity duringa period excluding those that result from expenses or distributions to owners.

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SECTION III-GENERAL ACCOUNTING POLICIES

3.1. ACCOUNTING PERIODS

As per the requirements of IAS1.2, ASER prepares annual general-purpose financial statements. ASER's fiscal year covers the period from Hamle 01 through Sene 30 E.C.

3.2. BASIS OF PREPARATION

The general-purpose financial statements of ASER are prepared in accordance with the following requirements:

- Commercial Code of Ethiopia 1961;
- Financial Reporting Proclamation 2014(847/14);
- International Financial Reporting Standards;
- International Financial Reporting Interpretations;
- International Accounting Standards; and
- International Accounting Standards Interpretations

3.3. FAIR PRESENTATION

The financial statements of ASER shall present fairly the financial position, financial performance and cash flows of an entity. Fair presentation requires the faithful representation of the effects of transactions, other events and conditions in accordance with

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the definitions and recognition criteria of assets ,liabilities, income and expenses as set out in the IASB Conceptual Frame work.

3.4. COMPLIANCE WITH IFRS

ASER is a for-profit public interest entity and the financial statements and notes of the company have to be prepared on that basis. All the accounting and reporting standards used by the entity are consistent with the International Financial Reporting Standards (IFRS) requirements.

3.5. HISTORICAL COST CONVENTION

The financial statements are prepared under the historical cost convention, as modified by the revaluation of certain classes of property, plant and equipment and fair value of some financial assets and liabilities.

3.6. ACCOUNTING ESTIMATES

The preparation of the financial statements in conformity with IFRS requires the use of certain accounting estimates. It also requires management to exercise its judgment in the process of applying the company's accounting policies. The estimates and underlying

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assumptions are reviewed on an on going basis. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant are disclosed in the financial statements.

3.7. GOING CONCERN

The financial statements will be prepared on the assumption that ASER is operating as a going concern (and will continue to do so in the foreseeable future, which is at least 12 months from date of the Statement of Financial Position). When preparing financial statements, management should make an assessment of the company's ability to continue as a going concern.

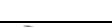
When management is aware of material uncertainties relating to events or conditions that may cast significant doubt upon the entity's ability to continue as a going concern, those uncertainties should be disclosed.

3.8. ACCRUAL BASIS OF ACCOUNTING

The financial statements of ASER will be prepared using the accrual basis of accounting, except for cashflow information presented in the statement of cash flows.

3.9. MATERIALITY AND AGGREGATION

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Each material class of similar items shall be presented separately in the financial statements of the company. Items of a dissimilar nature or function shall be presented

separately unless they are immaterial. Immaterial amounts should be aggregated with amounts of a similar nature or function and need not be presented separately.

3.10.OFF SETTING

Assets and liabilities, and income and expenses, shall not be off set unless required or permitted under the applicable International Financial Reporting Standards or local legislation.

3.11.CORRECTION OF PRIOR PERIOD ERRORS

Errors can arise in respect of the recognition, measurement, presentation or disclosure of elements of financial statements. Financial statements do not comply with IFRSs if they contain either material errors or immaterial errors made intentionally to achieve a particular presentation of an entity's financial position, financial performance or cash flows.

Potential current period errors discovered in that period are corrected before the financial statements are authorized for issue. However, material errors are sometimes not discovered until a subsequent period.

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Prior period errors are omissions or misstatements of prior period financial statements resulting from the failure to use, or the misuse of, reliable information that was available, or could be reasonably expected to have been obtained, at the time of preparation of those financial statements.

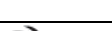
Examples of accounting errors include the following:

- Arithmetical errors
- Misapplication of accounting policies
- Fraud: e.g. payroll processing by using ghost employees.
- Mis understanding of or failure to notice information at the time of preparation of financial statements. E.g. not writing down the value of inventory when it is evident that their coverable value is less than their cost.
- Omission of transactions and events from the financial statements.

According to IAS 8.42, ASER shall correct material prior period errors retrospectively in the first set of financial statements authorized for issue after their discovery by:

- a) Restating the comparative amounts for the prior period(s) presented in which the error occurred; or
- b) If the error occurred before the earliest prior period presented, restating the opening balances of assets, liabilities and equity for the earliest prior period presented.

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3.12.COMPARATIVEINFORMATION

Except when International Financial Reporting Standards permit otherwise, comparative information shall be disclosed in respect to the previous period for all amounts reported in the current period's financial statements. Comparative information shall also be included for narrative and descriptive information when it is relevant to an understanding of the current period's financial statements.

3.13.CONSISTENCYOFPRESENTATION

The presentation and classification of items in the financial statements shall be consistent from one period to the next unless:

(a) It is apparent, following a significant change in the nature of the company's operations or a review of its financial statements, that another presentation or classification would be more appropriate having regard to the criteria for the selection and application of accounting policies in IAS8;or

(b)An International Financial Reporting Standards requires a change in presentation.

References:

IAS1–Presentation of Financial Statements

IAS8–Accounting Policies, Changes in Accounting Estimates and Errors

IAS34–Interim Financial Reporting

Commercial Code of Ethiopia1961

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Financial Reporting Proclamation 2014 (847/14)

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	Name:  Verushe Abreham ዋና ሥራ አስኪፊ General Manager	

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SECTION IV-SPECIFIC ACCOUNTING POLICIES

4.1. PROPERTY, PLANT AND EQUIPMENT

This policy is applied in accounting for property, plant and equipment. It does not apply to property, plant and equipment classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations policy presented in Section 4.6.

4.1.1. Definition

- Carrying Value: is the amount at which an asset is presented in the Statement of Financial Position after deducting any accumulated depreciation and accumulated impairment.
- Depreciation: is the systematic allocation of the depreciable amount of an asset over its economic useful life.
- Depreciable amount: is the cost of an asset, or other amount substituted for cost in the financial statements, less its residual value.
- Residual value: is the net amount that the company expects to obtain for an asset at the end of its useful life after deducting the expected costs of disposal.
- Useful life: is the period over which an asset is expected to be used by the company.

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4.1.2.Nature

As defined in IAS16.6, property, plant and equipment are tangible items that:

- are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes; and
- are expected to be used during more than one period.

However, an asset with the above characteristics but whose value is less than ETB 2,000 shall not be capitalized under PPE per the accounting policy of ASER. This means, any asset whose useful life is more than one year but costs less than ETB 2,000 shall be expensed during the fiscal year in which the expenditure was incurred.

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ASER's property, plant and equipment are categorized into the following major categories:

Property, Plant and Equipment Category
Property
Right of Use: Land
Lease-hold Land Improvements
Right of Use: Building
Owned Building
Plant
Right of Use: Plant
Owned Plant

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Machinery&Equipment
Right of Use:Machinery
Owned Machinery
Right of Use:Motor Vehicles
Owned Motor Vehicles
Office Equipment
Workshop Equipment
Furniture,Fixture &Fitting
Computers andAccessories
Other Equipment
Tools andCases

4.1.3.Re cognitionand Measurement

Initial Measurement

Property, plant and equipment recognized as assets per the recognition principles of IAS16.7are measured initially at cost as required by IAS16.15.

Subsequent Costs

Repairs and maintenance expenses shall be expensed as required by IAS16.12.As per IAS16.14,if a component of PPE is replaced, the cost of replacing the component has to be recognized in the carrying amount of the PPE and the carrying amount of the replaced

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components has to be derecognized in accordance with the de-recognition provision in

IAS16.67.

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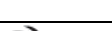
Measurement after Recognition

ASER Construction P.L.C chooses the following measurement models and applies them to an entire class of its property, plant and equipment as per IAS16.29.

Property, Plant and Equipment Category	
Property	
Right-of- Use: Land	Revaluation Model
Lease-hold Land Improvements	Cost Model
Right of Use: Building	Cost Model
Owned Building	Cost Model
Plant	
Right – of - Use: Plant	Cost Model
Owned Plant	Cost Model
Machinery and Equipment	
Right of Use: Machinery	Cost Model
Owned Machinery	Cost Model
Right of Use: Motor Vehicles	Cost Model
Owned Motor Vehicles	Cost Model
Office Equipment	Cost Model
Workshop Equipment	Cost Model
Furniture, Fixture & Fitting	Cost Model
Computers and Accessories	Cost Model
Other Equipment	
Tools and Cases	Cost Model

(a) Cost Model

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Inline with IAS16.30, subsequent to recognition as assets, items of property, plant and equipment that are accounted under the cost model are carried at cost less any accumulated depreciation and any accumulated impairment losses.

(b) Revaluation Model

Property, plant and equipment accounted under the revaluation model are carried at revalued amount less any accumulated depreciation and any accumulated impairment losses (IAS16.31). Under this model, ASER will perform revaluations whenever the carrying amount of its property, plant and equipment materially differs from fair value (IAS16.31). For this purpose, the company shall continuously watch over fair value movements.

Any revaluation surplus is recognized in Other Comprehensive Income (OCI) and accumulated in equity under the heading of Revaluation Reserve, except to the extent that it reverses an earlier impairment decrease on the same asset in accordance with IAS 16.39.

4.1.4. Depreciation

As per IAS16.43 each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item is depreciated separately. However,

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property, plant and equipment that are classified as held for sale under IFRS5 is not depreciated as required in IFRS5.25.

ASER shall begin depreciating an asset when it is available for use i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management. ASER should cease depreciating its assets at the earlier of the date that the asset is classified as held for sale (or included in a disposal group that is classified as held for sale) in accordance with IFRS5 and the date that the asset is derecognized. (IAS16.55)

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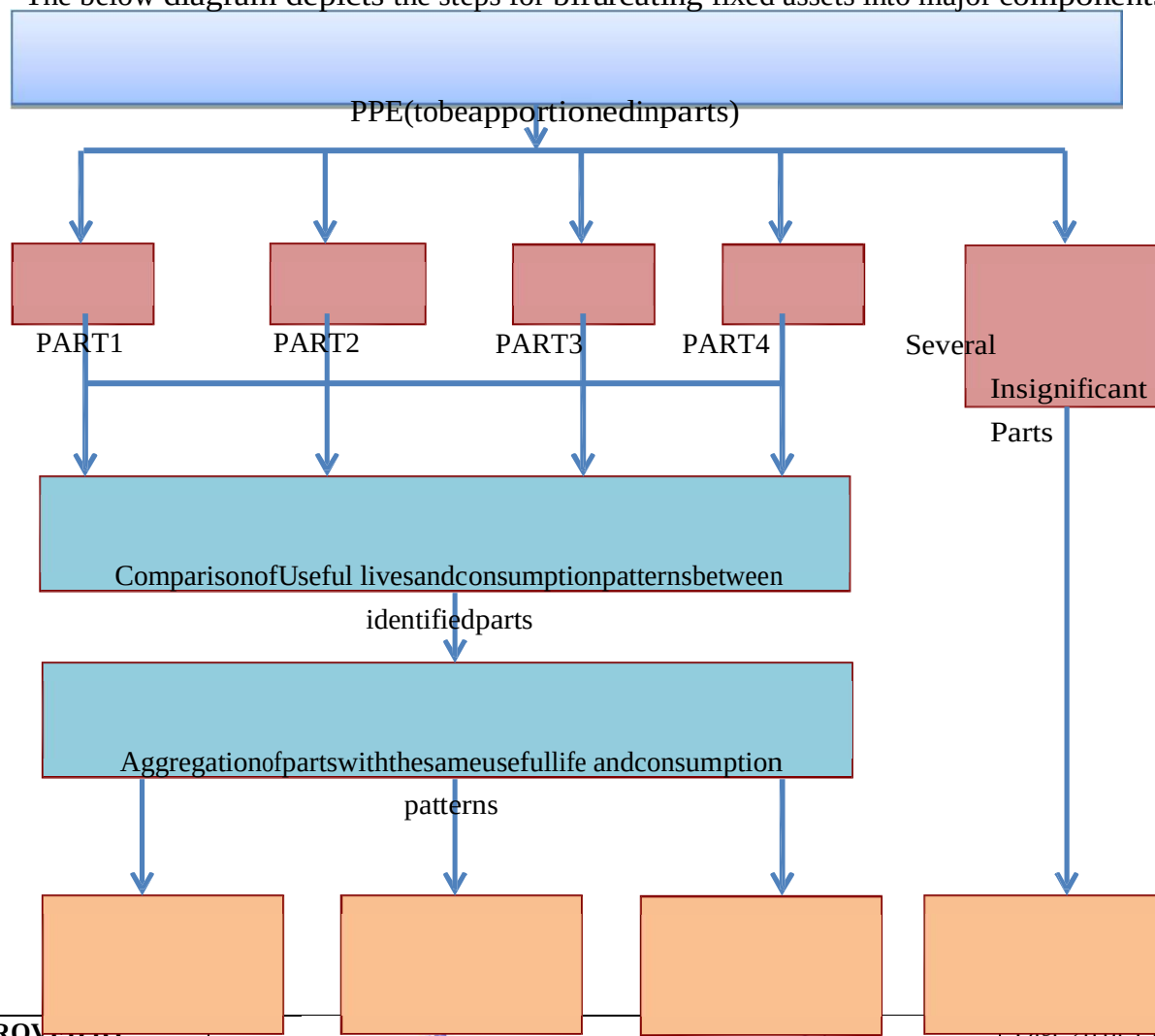
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Steps in Component Accounting

The most important step in component accounting is to identify key components requiring separate depreciation. IAS16 requires separate depreciation only for parts of an item of tangible fixed asset having:

- significant cost, and
- Different useful lives from there maining parts of the asset.

The below diagram depicts the steps for bifurcating fixed assets into major components.



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ComponentI (Parts 1and3)	ComponentII (Part2)	ComponentIII (Part4)	Remainder

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The depreciation charge for each period is to be recognized in the profit or loss unless it is included in the carrying amount of an other asset (e.g. depreciation of a machinery might be included as part of the cost of inventory produced using the machinery). (IAS 16.49)

Depreciable Amount and Depreciation Period

Depreciable amount is the residual amount that remains after deducting residual values of items of property, plant, and equipment and are allocated on a systematic basis over their useful lives as per IAS 16.50.

The depreciation periods of the company use a combination of service units and useful lives measured in years.

Depreciation Method

The depreciation methods reflect the pattern in which the asset's future economic benefits are expected to be consumed by ASER. (IAS 16.60)

Accordingly, ASER uses the depreciation methods and depreciation period as stated in the table below:

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Property, Plant and Equipment		
Category	Depreciation	Useful Life/Rate
Property		
Right-of-Use: Land	Straight-line Method	Lease term
Lease-hold Land Improvements	Straight-line Method	5%
Right of Use: Building	Straight-line Method	Lease term
Owned Building	Straight-line Method	5%
Plant		
Right-of-Use: Plant	Straight-line Method	Lease Term
Owned Plant	Straight-line Method	16% in the first year and 12% thereafter
Machinery & Equipment		
Right-of-Use: Machinery	Straight-line Method	Lease Term
Owned Machinery	Straight-line Method	10%
Office Equipment	Straight-line Method	10%
Workshop Equipment	Straight-line Method	10%
Furniture, Fixture & Fitting	Straight-line Method	10%
Computers and Accessories	Straight-line Method	10%
Motor Vehicle		
Right-of-Use: Motor Vehicles	Straight-line Method	Lease Term
Automobile	Straight-line Method	20%
Light Vehicles	Straight-line Method	20%
Heavy Duty Trucks	Straight-line Method	20%
Other Equipment		
Tools and Cases	Straight-line Method	10%

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Depreciation for tax purposes shall be based on the capital allow an ceratelaidd down in the income tax proclamation of The Federal Democratic Republic of Ethiopia. Depreciation is charged for Property , plant and equipment acquired on or after July8,2016 as apercent age of cost of individual fixed assets at the Diminishing value rate in accordance with Federal Income Tax Proclamation No. 979/2016 and the related Regulation at the following rate perannum:

Note: for items purchased before July8,2016 it is depreciated on the declining carrying value of each pool of properly, plant and equipmentat aspecifiedrate as same as above:

Property,Plantand Equipment	
Category	Capital AllowanceRate(%)

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Buildings PlantandMachinery OfficeEquipment Workshop&LaboratoryEquipment Furniture,Fixture &Fitting Motor Vehicles Kitchen andCampingEquipment Toolsandcases ComputerandAccessories	5 20 20 20 20 20 20 25		

Review of Useful Life, Residual Value and Depreciation Methods

ASER, as required in IAS16.51 and 16.61, shall review, at least at each financial year- end (Sene30),the residual values, the useful life of an asset and depreciation methods used by the company.If the expectations differ from previous estimates, suchDifferences have to institute change and the changes must be accounted prospectively as achange in accounting estimate in accordance with IAS8.36.

Recognition and Measurement of an Impairment Loss on PPE

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ASER shall assess whether there is any indication that a PPE item may be impaired at each reporting period in accordance with IAS 36.9 as illustrated in Section 4.16 (Impairment of Assets). In cases where, impairment losses are identified it should be reported in P&L.

4.1.2. De-recognition

On disposal or when no future economic benefits are expected from the use or disposal of PPE, its carrying amounts must be derecognized and disposal gains or losses shall not be classified as revenue or expense. (IAS 16.67-68)

The gain or loss arising from the De-recognition of an item of property, plant and equipment shall be determined as the difference between the net disposal proceeds, if any, and the carrying amount of the item. (IAS 16.71)

4.1.6. Presentation and Disclosure

The company shall present property, plant and equipment as an asset on its statement of financial position after netting any related accumulated depreciation and accumulated impairment losses. Depreciation expense and impairment loss or its reversal, on the other hand, is reported in the profit or loss section of the statement of comprehensive income.

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In accordance with IAS16.73-75, the financial statements of the company shall disclose the following items for each class of its property, plant and equipment.

- The measurement bases used for determining the gross carrying amount.
- The depreciation methods, useful lives or the depreciation rates used.
- The gross carrying amount and the accumulated depreciation (aggregated with accumulated impairment losses) at the beginning and end of the period.
- A reconciliation of the carrying amount at the beginning and end of the period showing additions, disposals, increases and decreases during the period resulting from revaluations, impairment losses recognized or reversed in profit or loss during the period, depreciation, and other changes.
- The existence and amounts of restrictions on title and PPE pledged as security for liabilities.
- The amount of expenditure on PPE recognized in the course of its construction.
- The amount of any commitments for the acquisition of PPE.
- The amount of any compensation from third parties for items of PPE that were impaired, lost or given up that is included in profit or loss.
- If the PPE is stated at revalued amounts, a) effective date of revaluation; b) whether an independent valuer was involved; and c) for each revalued class of PPE, the carrying amount that would have been recognized had the assets been carried under the cost model; and d) the revaluation surplus indicating the change for the period and any

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restrictions on the distribution of the balance to share holders.□ The carrying amount of temporarily idle property, plant and equipment.

- The gross carrying amount of any fully depreciated property, plant and equipment that is still in use.
- The carrying amount of property, plant and equipment retired from active use and not classified as held for sale.

4.1.7. Investment Property

ASER classifies its land or building (or part of its building—or both) as investment property if the property is held to earn rentals or for capital appreciation or for a currently undetermined future use. Investment property recognized as an asset under the recognition principle in paragraph 16 of IAS40 Investment Property is measured initially at cost as required by IAS40.20.

After initial recognition, ASER elects to use cost model for its investment property in accordance with IAS40.30. As per paragraph 56 of IAS40, ASER shall use the cost model in accordance with the requirements of IAS16's cost model and this model will be used to all of its investment properties. (IAS16.5)

Illustration:

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On Hamle 01,2009E.C. ASER imported a Power Generator from a China seven dor paying ETB85,000,000 in account of the purchase price and initial installation fee.The following information is relevant to account for this asset:

- ☐ ASER uses straight line method of depreciation ☐ The asset's useful life is estimated to be 10 years
- ☐ ASER will have to incur 5,000,000 ETB if it decommissions the machine today
- ☐ relevant inflation rate is 5% per annum
- ☐ The relevant discount rate is 8%

Considering the above information, the accounting for the asset is presented below:

The opening balance in decommissioning liability account is calculated by compounding the ETB5,000,000 at the inflation rate and discounting the future value obtained at the relevant discount rate.

Expected expenditure in 10 years = $5,000,000 \times (1+5\%)^{10} = 8,144,473$

8,144,473

Present value of expected expenditure = $\frac{8,144,473}{(1+8\%)^{10}} = 3,772,467$

ASER should pass the following journal entry to record the purchase and installation of the machine and provision for decommissioning cost.

Description

Debit

Credit

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Power Generator	88,772,467	
Cash at Bank		85,000,000
Other LongTerm Payables(Decommissioning Liability)		3,772,467

On Sene30,2009 E.C.,end of the fiscal year,ASER will pass the following journal entry to record depreciation ($ETB88,772,467 \div 10 \text{ years} = ETB8,877,247$).

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Description	Debit	Credit
DepreciationExpense(P/L)	8,877,247	
AccumulatedDepreciation–PowerGenerator		8,877,247

On Sene30,2009 E.C.ASER will also record the increase in decommissioning liability/asset retirement obligation due to the fact that it is 1 year closer to the actual expenditure. This effect is the unwinding of discount ($ETB3,772,467 \times 8\% = ETB301,797$), which is recorded as follows:

Description	Debit	Credit
Finance Cost(P/L)	301,797	
OtherLongTerm Payables(Decommissioning Liability)		301,797

The balance of the decommissioning liability will be ETB4,074,264 as at Sene30,2009 E.C. and it will increase over the next 9 years such that it will be exactly ETB8,144,473 at the time of actual decommissioning of the machine.

References:

IAS8–Accounting Policies, Changes in Accounting Estimates and Errors

IAS16–Property, Plant and Equipment

IAS36–Impairment of Assets

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IAS40–Investment Property

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4.2.INTANGIBLEASSETS

4.2.1. Definition

- Amortization: is the systematic allocation of the depreciable amount of an intangible asset over its useful life.
- Development:is the application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems or services before the start of commercial production or use.
- Entity-specific value: is the present value of the cash flows an entity expects to arise from the continuing use of an asset and from its disposal at the end of its use ful life or expects to incur when settling liability.
- Intangible asset: is an identifiable non-monetary asset without physical substance.
- Monetaryassets: are money held and assets to be received in fixed or determinable amounts of money.
- Research: is original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding.
- The residual value of an intangible asset:is the estimated amount that an entity would currently obtain from disposal of the asset, after deducting the estimated costs of disposal, if the asset were already of the age and in the condition expected at the end of its useful life.
- Usefullifeis:

(a)the period over which an asset is expected to be available for use by an entity;

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(b) the number of production or similar units expected to be obtained from the asset by an entity.

4.2.2. Nature

Intangible assets are identifiable non-current assets without any physical substance and give services to the organization for a period more than a year. The three critical attributes of an intangible asset include identifiability, control (power to obtain benefits from the asset) and ability to generate future economic benefits (such as revenues or reduced future costs). Examples of intangible assets might include patents, trademarks, brand, franchise agreements, computer software, customer lists, databases, and construction related development costs.

4.2.3. Recognition and Measurement

As per IAS 38.18 an intangible asset is recognized if, and only if:

- a) it meets the definition of an intangible asset stated in section 4.2.1;
- b) it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity; and
- c) The cost of the asset can be measured reliably.

In accordance with IAS 38.24, ASER shall initially measure any intangible asset at cost.

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Internally Assets	Generated	Intangible

As per IAS38.48, internally generated good will is not recognized as an asset. Other internally generated intangible assets must be assessed as to whether they should be recognized as an asset by classifying the generation of the asset into two (IAS38.52):

(a)are search phase; and(b)a development phase.

□ Research Phase

As per IAS38.54, no intangible asset arising from research (or from any phase of an internal project) is recognized. Expenditure on research (or on any phase of an internal project) is recognized as an expense when it is incurred.

□ DevelopmentPhase

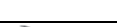
An intangible asset arising from development (or from the development phase of an internal project) shall be recognized as an asset if, and only if, an entity can demonstrate all of the criteria stated in IAS38.57.

Measurement after Recognition

ASER chooses the cost model as allowed in IAS 38.72. Accordingly, after initial recognition, an intangible asset is carried at its cost less any accumulated amortization and any accumulated impairment losses.

Useful Life

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IAS38.88 requires ASER to assess whether the useful life of an intangible asset is finite or indefinite. For the finite assets the company shall assess the length of the useful life over which the intangible asset shall be amortized.

Amortization Period and Amortization Method

As per IAS38.97, ASER shall use straight line method of amortization in a manner that allocates the depreciable amount of an intangible asset with a finite useful life over its useful life. Such amortization begins when the asset is available for use and ceases at the earlier of the date that the asset is classified as held for sale and the date that the asset is derecognized. The amortization used reflects the pattern of its consumption and the amortization charge is ~~recognized in profit or loss unless a standard permits or requires it to be included in the carrying amount of another asset.~~

Residual Value

In accordance with IAS38.100, ASER assumes the residual value of an intangible asset to be zero.

Review of Amortization Period and Amortization Method

As per IAS 38.104, the amortization period and the amortization method for an intangible asset with a finite useful life is reviewed at least each financial year end and change if necessary.

Intangible Assets with Indefinite Useful Lives

As per IAS38.107, an intangible asset with an indefinite useful life is not amortized. However, an entity is required to test an intangible asset with an indefinite useful life for

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impairment by comparing its recoverable amount with its carrying amount as required in IAS36. Hence, ASER tests its intangible asset with indefinite useful life for impairment:

- a) annually, and
- b) Whenever there is an indication that the intangible asset may be impaired.

4.2.4. Retirements and Disposals

ASER derecognizes its intangible asset on disposal or when no future economic benefits are expected from its use or disposal.(IAS38.112)

ASER measures the gain or loss arising from the de-recognition of an intangible as the difference between the net disposal proceeds, if any, and the carrying amount of the asset, which is recognized in profit or loss when the asset is derecognized. Such gains are not classified as revenue.(IAS38.113)

4.2.5. Presentation and Disclosure

The company shall present intangible assets as an asset on its statement of financial position after netting any related accumulated amortization and accumulated impairment losses. Amortization expense and impairment loss or its reversal shall be reported in the profit or loss section of the statement of comprehensive income.

In accordance with IAS 38.118-128, the financial statements of the company shall disclose the following information for each class of its intangible assets, distinguishing between internally generated intangible assets and other intangible assets:

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- whether the useful lives are indefinite or finite and, if finite, the useful lives or the amortization rates used;
- the amortization method sused for intangible assets with finite useful lives;
- the gross carrying amount and any accumulated amortization(aggregated with accumulated impairment losses)at the beginning and end of the period;
- the line item(s) of the statement of comprehensive income in which any amortization of intangible assets is included;
- are conciliation of the carrying amount at the beginning and end of the period showing additions; classified as held for sale ;increases and decreases during the period resulting from any revaluations; impairment losses recognized or reversed in profit or loss during the period; amortization and any other changes.□

for an intangible asset assessed as having an indefinite useful life,the carrying amount of that asset and the reasons supporting the assessment of an indefinite useful life;

- for intangible assets accounted for at revalued amounts, effective date of the revaluation; the amount of revaluation surplus at the beginning and end of the period, and carrying amount of the revalued intangible assets; and
- aggregate amount of any research and development expenditure recognized as anexpenseduring the period.

References:

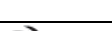
IAS36–Impairment of Assets

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IAS38–Intangible Assets

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4.3. INVENTORIES

4.2.1. Nature

Inaccordance with IAS2.6, for ASER, inventories are assets:

(a) held in the form of materials or supplies to be consumed in the company's operations or in the rendering of services. Inventories of this nature would normally comprise:

- Materials and supplies not directly consumed at the time of their purchase,such as chemicals, automotive parts, petroleum products,office and other general supplies;

(b) held for sale in the ordinary course of business;or

(c) in the process of production for such sales.

4.2.2. Measurement

Initial Measurement

Inventories are to be valued initially at cost and charged against operations when used. Cost includes the purchase priceplus any cost of conversion and other costs incurred in bringing the inventories to their present location and condition.(IAS2.10)Example of such costs include, cost of freight, insurance and handling charges.

Subsequent Measurement

Inventories held attheend of the financial period should be stated at the lower of cost and netrealizable value per IAS2.9.

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(Net realizable value is the estimated selling price in the ordinary course of business less the estimated costs necessary to make the sale).

4.2.3. Recognition Policies

- (a) The cost of inventories applied to operations shall be assigned by using the weighted average cost formula as allowed by IAS 2.25.
- (b) Consistent with the view that assets should not be carried in excess of amounts expected to be realized from their sale or use, when the cost of inventories may not be recoverable because the inventories are damaged, they have become wholly or partially obsolete, or if their selling prices have declined, inventories are usually written down to net realizable value on an item by item basis. In some circumstances, it may be appropriate to group similar or related items to determine the write down of inventories to their net realizable values as per IAS 2.29.
- (c) Materials and other supplies held for use in the production of inventories are not written down below cost if the finished products in which they will be incorporated are expected to be sold at or above cost. However, when a decline in the price of materials indicates that the cost of the finished products exceeds net realizable value, the materials are written down to net realizable value. In such circumstances, the replacement cost of the materials may be the best available measure of their net realizable value. (IAS 2.32)
- (d) The company will perform a new assessment of net realizable value in each subsequent period. When the circumstances that previously caused inventories to be written down below cost no longer exist or when there is clear evidence of an increase in net realizable

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value because of changed economic circumstances, the amount of the write-down is reversed (but the reversal is limited to the amount of

The original write-down) so that the new carrying amount is the lower of the cost and there vised netrealizable value. (IAS2.33)

(e) Inventories acquired at currencies other than ETB shall be recorded using the exchange rate applicable at the date of transaction as prescribed in Section 4.13 of this manual (Foreign Exchange Transactions).

(f) The amount of write-down of inventories to net realizable value and all losses of inventories should be recognized as an expense in the period the write down or loss occurs. (IAS2.34)

4.2.4. Presentation and Disclosure

ASER reports its inventories in the statement of financial position as current assets.

The company's financial statements should disclose:

- (a) the accounting policies adopted in measuring inventories, including the cost formula used;
- (b) the total carrying amount of inventories and the carrying amount in classifications appropriate to the company;
- (c) the carrying amount of inventories carried at netrealizable value;
- (d) the amount of any reversal of any write-down that is recognized as revenue, or a reduction in expenses, in the period and the circumstances or events leading to such reversals; and
- (e) the carrying amount of inventories pledged as security for liabilities, if any.

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References:

IAS2-Inventories

4.4.TRADE AND OTHER RECEIVABLES

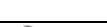
4.4.1. Nature

- (a)Receivables are generally defined as claims held against others for the future receipt of money,goods or services.
- (b)Receivables of the company usually include claims against customers for services rendered;r etentionsdue from customers; loans and advances to employees; claims against banks on Letter of Credit, and other prepayments.

4.4.2. Classification of Receivables

- (a)Trade Debtors:are receivables due from customers arising from furnishing goods.
- (b)Staff Debtors: are advances made to employees for travel, purchases,loan,etc.
- (c)Sundry Debtor: include advance payments to suppliers, consultants, and other third parties(suchasbanks).

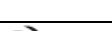
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ASER's list of receivables is depicted in the table below:

S.No.	Types of Receivables	Classification
1	Accounts Receivable	Trade Debtors
2	Staff Receivable	Staff Debtors
3	Advance to Employees	
4	Withholding Tax Receivable	Sundry Debtors
5	Interest Receivable	
6	Dividend Receivable	

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4.4.3.Recognition Principles

- (a) Receivables from employees are recognized as they arise and cancelled when payment is received.
- (b) Advances to costcenters are recognized when the cash or other assets borrowed is delivered or when payment is made for a liability of another cost center.
- (c) Other receivables are recognized up on the occurrence of event or transaction, which gives the company a legal claim against others.

4.4.4.Measurement

- (a)All receivable balances should be measured at their net realizable value, calculated as the gross amount of receivable minus any allowances provided for doubtful accounts.
- (b)Allowance for doubtful accounts should be provided in an amount equal to the total receivables shown or reasonably estimated to be doubtful of collection. The amount of the allowance should be based on past experiences and on a continuing review of receivable aging reports and other relevant factors. The provision for doubtful accounts shall be made as per the below provision matrix.

DaysPastDue (Age Group)	ProvisionRate
0-2years	Nil
2<Years<=3	5%
3<Years<=4	10%
4<Years<=5	15%
5<Years<=6	30%

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Over 6 Years		100%

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	Name:  Verushe Abreham ዋሩ ሥራ አስኪፊ General Manager	

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(c) Any receivable or portion of receivable as determined to be uncollectible should be written-off. Appropriate ASER officials or Board of Directors shall approve the write-off of receivables that are proved to be uncollectible. Write-offs of receivables should be done via the allowance for doubtful accounts after all efforts to collect have been exhausted. ASER shall use the following two authority tiers (developed based on the guide line issued by Ministry of Public Company's in Meskerem 2005 E.C.) for ultimate write-off of receivables:

Write-off Authority	Ceiling Amount for a Single Transaction	Ceiling Amount for a Fiscal Year
ASER Senior Management	Less than ETB 50,000.00	Upto ETB 500,000.00
ASER's Board of Directors	Above the ceiling set for Senior Management	Above the ceiling set for Senior Management

(d) Receivables denominated in a currency other than the Ethiopian Birr are recognized in accordance with the provisions of Section 4.13 of this manual (Foreign Exchange Transactions).

4.4.5. Presentation and Disclosure

- Receivables should be classified in the statement of financial position as current or non-current. Current receivables are those collectible within one year from the date of the statement of financial position. Non-current receivables are those collectible beyond one year.
- Receivables from customers should be shown as a separate line item in the statement of financial position.

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- c. Staff Debtors' out standing balances should be identified as a separate line item in the statement off inancial position.
- d. Advances to branch offices /shops/cost centers/and other receivables should be identified as separate line items in the statement of financial position.
- e. The allowance for doubtful accounts should be deducted from the related asset with the asset being shown in the statement of financial position either at:
- (i)Gross,less the allowance;or
 - (ii)Net,with the amount of the allowance indicated inthe notes to the financial statements.

Reference:

IFRS9-Financial Instruments

4.5. CASH AND CASHE QUIVALENTS

4.5.1. Definition

- Cashflows: are inflows and out flows of cash and cash equivalents.
- Operating activities: are the principal revenue-producing activities of theentity and other activities that are not investing or financing activities.
- Investing activities: are the acquisition and disposal of long-term assets and other investments not included in cash equivalents.
- financing activities: are activities that result inchanges in the size and composition of the contributed equity and borrowing sof theentity.

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4.5.2. Nature

(a) Cash comprises cash on hand, petty cash funds, currencies a waiting deposit and local or foreign currency deposits in banks which can be added to or withdrawn without limitation and are immediately available for use in the current operations.

(b)Cash equivalents are short- term, highly liquid investments that are both: i)readily convertible to known amounts of cash; and ii)so near their maturity date that they present in significant risk of changes in value because of changes in interest rates.

4.5.3. Measurement

(a)Cash is valued at face value.

(b)Cash and cash equivalents in currencies other than the Ethiopian Birr(ETB) are recorded at market exchange rates in effect at the time of transaction and restated to the equivalent ETB amount at prevailing market rates as of the date of the statement

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Of financial position according to the provision stated in Section 4.13 of this manual
(Foreign Exchange Transactions).

4.5.4. Presentation and Disclosure

ASER should include a separate line item, “Cash” or “Cash and Cash Equivalents” in its Statement of Financial Position.

4.5.5. Statement of Cash Flow

The company shall prepare a statement of cash flows in accordance with the requirements of this policy and shall present it as part of its annual complete set of financial statements.

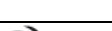
The company shall report the statement of cash flows during a fiscal period classified in to the following three activities as required by IAS 7.10.

i. Operating Activities

Cash flows from operating activities are primarily derived from the principal revenue producing activities of the company. Therefore, they generally result from the transactions and other events that enter into the determination of profit or loss. Examples of cash flows from operating activities for ASER include:

- cash receipts from the sale of goods and the rendering of services;
- cash payments to suppliers for goods and services;
- cash payments to and on behalf of employees;

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- ☐ cash payments for dividends; and
- ☐ cash payments or refunds of taxes.

The company shall calculate cash flow from operating activities using direct method. Under the direct method, information about major classes of gross cash receipts and payments may be obtained either:

- ☐ from the accounting records of the entity; or
- ☐ by adjusting sales, cost of sales and other items recognized in profit or loss for:
 - ☐ changes during the period in inventories and operating receivables and payables;
 - ☐ other non-cash items; and
 - ☐ other items for which the cash effects are investing or financing cash flows.

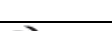
ii. Investing Activities

ASER includes in the investing activities section of the statement of cash flow related to the acquisition and disposal of long-term assets and other investments not included in cash equivalents.

ASER elects to classify cash flows from interest and dividends received as investing cash flows.

iii. Financing Activities

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Financing activities comprise receipts or repayments of cash from or to external providers of finance. For ASER this includes:

- cash proceeds from borrowings;
- repayment of amounts borrowed (other than overdrafts);
- cashflows from interests paid; and
- the capital element of lease rental payments for a right-of-use asset.

References:

IFRS9-Financial Instruments

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4.6.NON CURRENT ASSET HELD FOR SALE

4.6.1. Definition

- Non-current assets held for sale: are assets whose carrying amount will be recovered principally through sale rather than continuing use in the business.
- Costs to sell: are defined as the incremental costs directly attributable to the disposal of an asset (or disposal group), excluding finance costs and income tax expense.

4.6.2. Recognition Criteria

In line with the requirements of IFRS 5.6, ASER, in general terms, classifies non-current assets (or disposal groups) as held for sale if the asset's carrying amount will be recovered principally through a sale transaction rather than through continuing use.

For this to be the case the company deems that the asset (or disposal group) must be available for immediate sale in its present condition subject only to terms that are usual and customary for sale of such assets (or disposal groups) and its sale must be highly probable. (IFRS 5.7) Assessment should be made in order to determine if the sale is highly probable—inference to whether the criteria listed under IFRS 5.8 are satisfied.

4.6.3. Measurement

Per IFRS 5.15, the company measures any non-current asset (or disposal group)

Classified as held for sale at the lower of its carrying amount and fair value less costs to

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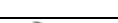
sell. When the sale is expected to occur beyond one year, the company should measure the costs to sell at their present value. Any increase in the present value of the costs to sell that arise due to changes in time will be presented in the income statement as a financing cost.(IFRS5.17)

Impairment Losses and Reversals

According to IFRS5.20-25,

- ASER shall recognize all impairment loss for any initial or subsequent write- down of the asset(disposal group)to fair value less costs to sell.
- The company recognizes again for any subsequent increase in fair value less costs to sell of an asset (disposal group), up to the cumulative impairment loss that has been recognized.
- An impairment loss recognized for adisposal group will reduce the carrying amount of the non-current assets in the company.
- Again or loss not previously recognized by the date of the sale of anon-current asset shall be recognized at the date of de-recognition.
- There is no amortization or depreciation of a non-current asset while it is classified as held for sale or while it is part of adisposal group classified as held for sale. The interest and other expenses attribute able to the liabilities of adisposal group classed as held for sale will continue to be recognized.

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4.6.4. De-recognition of an Asset Held for Sale

In alignment with IFRS5.27,if ASER has classified an asset (or disposal group)as held for sale,but the recognition criteria is no longer met, then the company must cease to classify the assets as held for sale.

The company shall measure a non-current asset that ceases to be classified as held for sale at the lower of either:

- a) the carrying amount before the asset was classified as held for sale, adjusted for any depreciation, amortization or revaluations that would have been recognized had the asset not been classified as held for sale,or
- b) its recoverable amount at the date of the subsequent decision not to sell.

Any required adjustments to the carrying amount of a non-current asset that ceases to be classified as held for sale will be transferred to the income statement from continuing operations in the period in which the recognition criteria are no longer met.

4.6.5. Presentation and Disclosure

Non-current assets classified as held for sale shall be presented separately from other assets in the balance sheet. The liabilities of a disposal group classified as held for sale shall be presented separately from other liabilities in the balance sheet. (IFRS5.38)

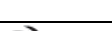
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The company shall provide the following information relating to non-current assets held for sale, disposal groups and discontinued operations:

- ☐ a description of the non-current asset(or disposal group);
- ☐ a description of the facts and circumstances of the sale or leading to the expected disposal, and the expected manner and timing of that disposal;
- ☐ the gain or loss recognized from measuring the non-current asset (or disposal group)at fair value less costs to sell and, if not separately presented on the face of the statement of comprehensive income, the caption in the statement that includes that gain or loss.

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□ Inrelation to discontinued operations, ASER shall disclose:

(a)asingle amount in the statement of comprehensive income comprising the total of:

- the post-tax profit or loss of discontinued operations and
- the post-tax gain or loss recognized on the measurement to fair value less costs to sell or on the disposal of the assets or disposal group(s) constituting the discontinued operation.

(b)ananalys is of the single amount in(a)into:

- the revenue,expenses and pre-tax profit or loss of discontinued operations;
- there lated income tax expense as required by IAS12.81;
- the gain or loss recognized on the measurement to fair value less costs to sell or on the disposal of the assets or disposal group(s)constituting the discontinued operation; and
- there lated income tax expense as required by IAS12.81.

References:

IFRS5-NonCurrent Assets Held for Saleand Discontinued Operations

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4.7. INVESTMENT IN ASSOCIATES

4.7.1. Definition

- An associate: is an entity over which the investor has significant influence.
- Significant influence: is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control of those policies.
- The equity method: is a method of accounting where by the investment is initially recognized at cost and adjusted thereafter for the post-acquisition change in the investor's share of the investee's net assets. The investor's profit or loss includes its share of the investee's profit or loss and the investor's other comprehensive income includes its share of the investee's other comprehensive income.

4.7.2. Accounting

ASER shall apply the equity method of accounting for its investments in equity securities where it has significant influence over the investee according to the requirement of IAS 28.16.

Per IAS 28.38, if ASER's share of losses of an associate equals or exceeds its interest in the associate or joint venture, the company discontinues recognizing its share of further losses. After application of the equity method, including recognizing the associate's losses, ASER shall determine whether there is any objective evidence that its net investment in the associate is impaired and if so, recognize the impairment loss.

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Illustration:

On Tir01,2009,ASER Construction P.L.C bought 100 ETB par value 67,000 shares of Awash Water Well Drilling.The investee(AwashWater Well Drilling) has a subscribed capital of 16,750,000 ETB and reported apost-acquisition profit for the fiscal year ended Sene 30,2009of 400,000 ETB.

ASER account for its interest on the post-acquisition profit of the investee as follows:

As ASER has a 40 %(ETB6,700,000÷ETB16,750,000)interestin Awash Water Well Drilling, it will be required to use equity accounting with the following journal entries.

- Journal entry on Tir 01, 2009 to record acquisition of shares in Awash Water Well Drilling:

Description	Debit	Credit
Investment in AwashWaterWellDrilling	6,700,000	
----- Cash at Bank		6,700,000

- On Sene 30, 2009, ASER will account for its share of profit from Awash Water Well Drilling amounting ETB 160,000 (ETB 400,000 * 40%) by passing the following journal entry.

Description	Debit	Credit
Investment in AwashWaterWell Drilling	160,000	
----- Investment Income(P/L)		160,000

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Assume that AwashWater Well Drilling paid out dividends of ETB100,000to its shareholders on Meskerem 30, 2009. ASER will account for its share of dividend amounting ETB40,000(ETB100,000*40%)by passing the following journal entry.

Description	Debit	Credit
Cash atBank	40,000	
Investment inAwashWaterWell Drilling		40,000

References:

IAS28-Investment in Associates and JointVentures

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4.8. FINANCIAL INSTRUMENTS

4.8.1. Nature

Financial instruments are contracts that result in financial asset in hands of one party and financial liabilities in the hands of the other party.

4.8.2. Recognition

Initial Recognition

ASER classifies its financial instruments as a financial liability, financial asset or an equity instrument in accordance with the substance of the contractual arrangement on initial recognition and the definitions of a financial liability, financial asset and an equity instrument.(IAS32.15)

As per IFRS9.3.1.1,ASER recognizes a financial asset or a financial liability in its statement of financial position when, and only when, the company becomes party to the contractual provisions of the instrument.

4.8.3. Classification of Financial Instruments

4.8.3.1.Classification of Financial Assets

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As per IFRS 9.4.1.1, ASER classifies financial assets as subsequently measured at amortized cost, fair value through other comprehensive income or fair value through profit or loss on the basis of both:

- a) ASER's business model for managing the financial assets; and
- b) the contractual cashflow characteristics of the financial asset

Accordingly

,

- ASER measures its debtors and bonds receivable at amortized cost since the financial asset is held with in a business model which is to hold financial assets in order to collect contractual cashflows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payment of principal and interest on the principal amount out standing.
- ASER measures its financial assets at fair value through other comprehensive income if the financial asset is held for both collecting contractual cashflows and selling financial assets and if the contractual terms of the financial asset gives rise on specified dates to cashflows that are solely payments of principal and interest on the principal amount outstanding as per IFRS9.4.1.2A.
- ASER measures all other financial assets at fair value through profit or loss unless it is measured at amortized cost or at fair value through other comprehensive income. Cash and Cash Equivalents are measured under the fair value model.

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4.8.3.2.Classification of Financial Liabilities

Asper IFRS9.4.2.1,ASER classifies all financial liabilities at amortized cost.

4.8.3.3.Re classification

Asper IFRS9.4.4.1,ASER reclassifies all affected financial assets when and only when the company changes its business model for managing financial assets. However, ASER is not required to reclassify any financial liability.

4.8.4. Measurement

Initial Measurement

Asper IFRS9.5.1.1, except for trade receivables, at initial recognition, ASER measures a financial asset or a financial liability at its fair value plus or minus,in the case of a financial asset or financial liability not at fair value through profit or loss,transaction costs that are directly attributable to the acquisition or issue of the financial asset or financial liability.

Asper IFRS9.5.1.3, ASER, at initial recognition measures its trade receivables at their transaction price (as defined in IFRS15) if the trade receivables do not contain a significant financing component.

Subsequent Measurement of Financial Assets

Asper IFRS9.5.2.1,ASER subsequently measures its financial assets at amortized cost, at fair value through other comprehensive income or at fair value through profit or loss.

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Accordingly, debtors and related receivables are recognized at amortized cost. Government Saving Bonds are also recognized at amortized cost.

As per IFRS9.5.2.2, ASER applies the impairment requirementst of inancial assets that are measured at amortized cost and at fairvalue through other comprehensive income.

Subsequent Measurement of Financial Liabilities

As per IFRS9.5.3.1, after initial recognition, ASER measures a financial liability at amortized cost in accordance with IFRS9.4.2.1.

4.8.5. De-recognition of Financial Instruments

De-recognition of Financial Assets

As per IFRS9.3.2.3, ASER derecognizes a financial asset when and only when:

- a) The contractual rights to the cashflows from the financial asset expire, or
- b) It transfers the financial asset and the transfer qualifies with for de-recognition as per IFRS9.3.2.4-6.

As per IFRS9.3.2.12, on de-recognition of a financial asset in its entirety, the difference between:

- a) the carrying amount (measured at the date of de-recognition) and

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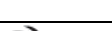
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b) the consideration received (including any new asset obtained less any new liability assumed) is recognized in profit or loss.

Write-off

According to IFRS9.5.4.4,ASER shall directly reduce the gross carrying amount of a financial asset when the entity has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. A write-off constitutes a derecognition event.

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De-recognition of Financial Liabilities

Asper IFRS9.3.3.1, ASER removes a financial liability form its statement of financial position when, and only when, it is extinguished i.e., when the obligation specified in the contract is discharged or cancelled or expired.

Asper IFRS9.3.3.3, ASER recognizes the difference between the carrying amount of a financial liability extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed in profit or loss.

4.8.6. Presentation

Interest, Dividends, Losses and Gains

As per IAS32.3, ASER recognizes interest, dividends, losses and gains relating to a financial instrument in profit or loss as income or expense.

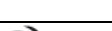
ASER debits distributions to holder so far equity instrument directly to equity, net of any related income tax benefit as per IAS32.35.

References:

IAS32-Financial Instruments: Presentation

IFRS9-Financial Instruments

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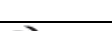
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4.9. PROVISIONS, CONTINGENT LIABILITIES AND ASSETS

4.9.1. Definitions

- Provision: is liability of un certain timing and amount
- A liability: is a present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.
- An obligating event: is an event that creates a legal or constructive obligation that results in an entity having no realistic alternative to settling that obligation.
- A legal obligation: is an obligation that derives from:
 - (a) a contract (through its explicit or implicit terms);
 - (b) legislation; or
 - (c) Other operation of law.
- A constructive obligation: is an obligation that derives from an entity's actions where:
 - (a) by an established pattern of past practice, published policies or a sufficiently specific current statement, the company has indicated to other parties that it will accept certain responsibilities; and

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(b) as a result, the entity has created a valid expectation on the part of those other parties that it will discharge those responsibilities.

- **Contingent liability:** is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity. It can also be a probable liability whose amount of obligation cannot be measured with sufficient reliability.
- **Contingent asset:** is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

4.9.2. Provisions

Recognition

As per IAS 37.14, ASER recognizes provision when:

- a) it has a present obligation (legal or constructive) as a result of a past event;
- b) it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- c) a reliable estimate can be made of the amount of obligations. If

the above conditions are not met, no provision is recognized.

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According to IAS37.36, the amount recognized as a provision is the best estimate of the expenditure required to settle the present obligation at the statement of financial position date. If time value of money is immaterial, the amount of a provision is the present value of the expenditures expected to be required to settle the obligation. (IAS37.45) **Reimbursements**

As per IAS37.53, where some or all of the expenditure required to settle a provision is expected to be reimbursed by another party, the reimbursement is recognized when, and only when, it is virtually certain that reimbursement will be received if the entity settles the obligation. There, reimbursement is treated as a separate asset.

As per IAS37.54, in statement of profit or loss and other comprehensive income, the expense relating to provisions may be presented net of the amount recognized for a reimbursement.

Changes in Provisions

As per IAS37.59, provisions are reviewed at each statement of financial position (SoFP) date and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of resources will be required to settle the obligation, the provision is reversed.

Application of the Recognition and Measurement Rules

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Future Operating Losses

AsperIAS37.63, provisions are not recognized for future operating losses.

Onerous Contracts

Asper IAS37.66, if ASER has a contract that is onerous, the present obligation under the contract is recognized and measured as provision.

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	Name:  General Manager	

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Illustration:

The following information is obtained from the legal service department of ASER

Regarding pending law suitsasat Sene 30, 2009.

Cases	Plaintiff	Defendant	Likelihood of Outcome	Best Estimate of Settlement in ETB
Case#1	AtoK	ASER	Probable	50,000
Case#2	AtoM	ASER	Possible	22,000
Case#3	ASER	ClientA	Probable	170,000

The accounting treatment for the cases in the table above is presented as follows:

Case #1:As the outcome is probable,liability should be reported as aprovision for at Sene 30,2009 and should be recorded using the following journal entry.

Description	Debit	Credit
Litigation Expense(P/L)	50,000	
Provision-Litigation(SoFP)		50,000

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Case #2: The outcome of the case, as judged by the legal services, is 'possible' which means the liability is a contingent liability. This does not require a journal entry for recognition of liability but a disclosure in the notes to the financial statement has to be made.

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	Name:  Veronique Abreha ዋና ሥራ አስኪፊት General Manager	

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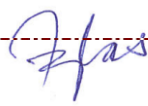
Case #3: There is a probable chance that ASER will be compensated for its claims. However, until it is virtually certain that the amount will be collected from the plaintiff if f, this will be disclosed in the financial statement as a contingent asset without a need for journal entries.

Assume that Case #1 was not settled in the year ending Sene 30,2010 and the legal department revised its best estimates for settlement from ETB 50,000 to ETB 42,000. In this case, the following journal entry would be made to record the decrease in

Provision

Description	Debit	Credit
Provision- Litigation(SoFP).....	8,000	
Reversal of Provision(P/L)		8,000

Assume also that the annual review (as at Sene 30,2010) of pending legal cases resulted in graduating the likelihood of Case # 2 from 'possible' to 'probable', owing to new evidence obtained by the plaintiff during the fiscal period. The original best estimate of the liability of ETB 22,000 is still valid. In this case, the increase in probability of occurrence requires recognition of a provision. Thus, ASER recognizes provision by passing the following journal entry.

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Description	Debit	Credit
Litigation Expense(P/L)	22,000	
Provision- Litigation(SoFP)		22,000

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4.9.3. Contingent Assets and Liabilities

Contingent Liabilities

Asper IAS37.27, contingent liabilities are not recognized but disclosed. However, they are assessed continually to determine whether an out flow of resources embodying economic benefits has become probable.

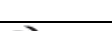
Contingent Assets

According to IAS37.31, contingent assets are not recognized but disclosed. However, contingent assets are assessed continually to ensure possible developments are appropriately reflected in the financial statements.

Illustration:

An insurance claim that ASER is pursuing through legal process provides a potential inflow of economic benefits which is not certain but probable. The insurance claim that ASER expects to be compensated, in this case, is a contingent asset. Thus, the company cannot recognize it but disclose it in its financial statement – it discloses a brief description of the nature of the contingent assets at the end of the reporting period, and, where practicable, an estimate of their financial effect. (IAS37.89)

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4.9.4. Presentation and Disclosure

The company shall report provisions separately as a single line item in the statement of financial position as either current or non-current liability depending on the expected settlement date.

In line with IAS37.84-86,ASER shall disclose the following information in relation to its provisions and contingencies:

(a)For Each Class of Provision

- ☐ The carrying amount at the beginning and the end of the period ,and additional provisions made in the period, including increases to existing provisions
- ☐ The amounts incurred and charged against provisions and unused amounts reversed during the period
- ☐ The increase during the period in the discounted amount arising from the passage of time and the effect of any change in the discount rate
- ☐ A brief description of the nature of the obligation and the expected timing of any resulting out flows of economic benefits
- ☐ An indication of the uncertainties about the amount and timing of those outflows (where necessary,major assumptions made concerning future events)
- ☐ A mount of any expected reimbursement,stating the amount of any asset that has been recognized for that expected reimbursement

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(b)For Each Class of Contingent Liability

- A brief description of the nature of the contingent liability, and where practicable an estimate of its financial effect
- An indication of the uncertainties relating to the amount or timing of any outflow
- The possibility of any reimbursement

Where any of the information required for disclosure of provisions and contingent liabilities not disclosed because it is not practicable to do so, that fact should be disclosed.

References:

IAS37-Provisions,Contingent Liabilities and Contingent Assets

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4.10. EMPLOYEE BENEFITS

4.10.1. Definitions

- Employee Benefits: are all forms of consideration given by an entity in exchange for services rendered by employees or for the termination of employment.
- Short-term employee benefits: are employee benefits (other than termination benefits) that are due to be settled within 12 months after the end of the period in which the employees render the related service.
- Post-employment benefits: are employee benefits (other than termination benefits) which are payable after the completion of employment.
- Other long-term employee benefits: are employee benefits (other than post-employment benefits and termination benefits) that are not due to be settled within 12 months after the end of the period in which the employees render the related service.
- Termination benefits: are employee benefits payable as a result of either:
 - a. an entity's decision to terminate an employee's employment before the normal retirement date; or
 - b. an employee's decision to accept voluntary redundancy in exchange for those benefits.
- Vested employee benefits: are employee benefits that are not conditional on future employment.

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4.10.2. Short-term Employee Benefits

As per IAS 19.11, when an employee has rendered service to an entity during an accounting period, the entity shall recognize the undiscounted amount of short-term employee benefits expected to be paid in exchange for that service:

a) as a liability (accrued expense), after deducting any amount already paid.

If the amount already paid exceeds the undiscounted amount of the benefits, recognize that excess as an asset (prepaid expense) to the extent that the prepayment will lead to, for example, a reduction in future payments or a cash refund; and

b) as an expense, unless other standards require or permit the inclusion of the benefits in the cost of an asset. (for example IAS 2 or IAS 16)

Illustration:

The Human Resources Department of ASER provided that, as at September 30, 2009, 50 employees with an average monthly salary of ETB 4,200 have accumulated unused annual leave of 15 days each which vested in the fiscal year ending September 30, 2009.

Under this case, the accumulated unused annual leave should be accrued as follows:

Accrued Annual Leave = ETB 4,200 ÷ 20 (working days per month) * 15 (accumulated annual leave) * 50 (employees)

= ETB 157,500

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The accrual is then recorded as below:

Description	Debit	Credit
Employee Benefit Expense (P/L)	157,500	
Accrued Annual Leave (SoFP)		157,500

4.10.3. Profit Sharing and Bonus Plans

As Per IAS 19.19, ASER recognizes the expected cost of profit sharing and bonus payment when and only when:

- the entity has a present legal or constructive obligation (a present obligation exists when, and only when, ASER has no realistic alternative but to make the payments) to make such payments as a result of past events; and
- a reliable estimate of the obligation can be made.

4.10.4. Post-employment Benefits

Defined Contributions Plans

ASER's post-employment employee benefit is a defined contribution plan where it pays fixed monthly contributions into a government managed pension plan and will have no legal or constructive obligation to pay further contributions if the pension plan does not

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hold sufficient assets to pay all employee benefits relating to employee service in the current and prior periods.

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	Name:  Verushe Abreham ዋና ሥራ አስኪፊ General Manager	

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As per IAS19.51, when an employee renders service during a period, the contribution payable to a defined contribution plan is recognized in exchange for that service:

a) as a liability (accrued expense), after deducting any contribution already paid.

If the contribution already paid exceeds the contribution due for service before the balance sheet date, an entity recognizes that excess as an asset (prepaid expense) to the extent that the prepayment will lead to, for example, a reduction in future payments or a cash refund.

b) as an expense, unless another standard requires or permits the inclusion of the contribution in the cost of an asset (e.g. IAS2 and IAS16).

4.10.5. Other Long-term Employee Benefits

As per IAS 19, the amount recognized as a liability for other long-term employee benefits is the net total of:

a) the present value of the defined benefit obligation at the balance sheet date; and

b) Minus the fair value at the balance sheet date of plan assets (if any) out of which the obligations are to be settled directly.

4.10.6. Termination Benefit

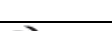
As per IAS19.165, ASER shall recognize a liability and expense for termination benefits at the earlier of the following dates:

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(a) when the entity can no longer withdraw the offer of those benefits; and

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(b) when the entity recognizes costs for a restructuring that is within the scope of IAS37 and involves the payment of termination benefits.

As per IAS 19.167, the company is assumed to be demonstrably committed to a termination when and only when, it has a detailed formal plan for the termination and is without realistic possibility of withdrawal. The detailed plan includes, as a minimum:

- a) the location, function, and approximate number of employees whose services are to be terminated;
- b) the termination benefits for each job classification or function; and
- c) the time at which the plan will be implemented. Implementation begins as soon as possible and the period of time to complete implementation is such that a material change to the plan is not likely.

4.10.7. Presentation and Disclosure

ASER's financial report shall disclose information about employee benefits for key management personnel as required by IAS24, Related Party Disclosure.

References:

IAS19-Employee Benefits

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4.11. TAXES

The company is subject to business income tax under schedule“C” of the Ethiopian Income Tax Proclamation 979/2016 and to Value Added Tax(“VAT”) Proclamations 285/2002 and 609/2008.This policy applies to the accounting of income tax and Value Added Taxes.

4.11.1. Definitions

- Taxable profit (tax loss): is the profit (loss) for a period, determined in accordance with the rules established by the taxation authority, up on which income taxes are payable (recoverable).
- Temporary differences: are differences between the carrying amount of an asset or liability in the statement of financial position and its tax base. Temporary differences may be either:
 - o Deductible temporary differences, which are temporary differences that will result in amounts that a redeductible indetermining taxable profit (taxloss)of future periods when the carrying amount of the asset or liability is recovered or settled; or
 - o Taxable temporary differences, which are temporary differences that will result in taxable amounts indetermining taxable profit (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled.

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4.11.2. IncomeTax

Recognition of Current and DeferredTax

PerIAS12.58, current and deferred taxes shall be recognized as income or an expense and included in profit or loss for the period, except to the extent that the taxarises from a transaction or event which is recognized, in the same period or a different period, out side profit or loss, either in other comprehensive income or directly in equity.

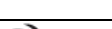
Asper IAS12.61 A,current tax and deferred tax shall be recognized outside profit or loss if the tax relates to items that are recognized, in the same or adifferent period, out side profit or loss. Therefore, current tax and deferred tax that relates to items that are recognized, in the same or a different period:

- a) in other comprehensive income, shall be recognized in other comprehensive income. b) directly in equity, shall be recognized directly in equity.

Recognition of Current Tax Liabilities and Current Tax Assets

According to IAS12.12, ASER recognizes current tax for current and prior periods, to the extent un paid as a liability, and, I fthe amount a lready paid inrespect of current and prior periods exceeds the amount due for those periods, the excess shall be recognized as an asset. The benefit relating to a tax loss that can be carried forward to be charged against future tax is recognized as an asset.(IAS12.34)

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Recognition of Deferred Tax Liabilities

A deferred tax liability is recognized per IAS12.15 for all taxable temporary differences except those in relation to business combination.

As per SIC21.5, deferred tax liability or asset that arises from the revaluation of a non-depreciable asset under IAS16.31 is measured on the basis of the tax consequences that would follow from recovery of the carrying amount of that asset through sale, regardless of the basis of measuring the carrying amount of that asset.

If the tax law specifies a tax rate applicable to the taxable amount derived from the sale of an asset that differs from the tax rate applicable to the taxable amount derived from using an asset, the former rate is applied in measuring the deferred tax liability or asset related to a non-depreciable asset.

Recognition of Deferred Tax Assets

A deferred tax asset is recognized for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilized.(IAS12.24)

Reassessment of Unrecognized Deferred Tax Assets

At each reporting date, the company should reassess recognized deferred tax assets.

The entity recognizes a previously unrecognized deferred tax asset to the extent that it has

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become probable that future taxable profit will allow the deferred tax asset to be recovered.(IAS12.37)

Measurement of Current Tax liabilities

Current tax liabilities for current and prior periods are measured at the amount expected to be paid to the taxation authority, using the tax rates(and tax laws)that have been enacted or substantively enacted by there porting date. (IAS12.46-47) Deferred tax assets shall not be discounted as specified in IAS12.53.

Measurement of Current Tax Assets

Current tax assets for current and prior periods are measured at the amount expected to be recovered from the taxation authority, using the tax rates (and taxlaws) that have been enacted or substantively enacted by there porting date. (IAS12.46-47) deferred tax liabilities shall not be discounted as specified in IAS 12.53.

Measurement of Deferred Tax Assets and Liabilities

The measurement of deferred tax liabilities and deferred tax assets shall reflect the tax consequences that would follow from the manner in which the entity expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities. (IAS12.51)

Per IAS12.56, the carrying amount of a deferred tax asset is reviewe date a ch reporting date.

The company shall reduce the carrying amoun to fade ferred tax asset to the extent that it is

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no longer probable that sufficient taxable profit will be available to allow the benefit of part or that entire deferred tax asset to be utilized. Any such reduction shall be reversed to the extent that it becomes probable that sufficient taxable profit will be available.

Un used Tax Losses and Unused Tax Credits

ASER, according to IAS12.34, shall recognize a deferred tax asset for the carry forward of unused tax losses and unused tax credits to the extent that it is probable that future taxable profit will be available against which the unused tax losses and unused tax credits can be utilized.

Presentation of Tax Assets and Tax Liabilities

Current and deferred tax assets and tax liabilities are not offset except when:

- there is a legally enforceable right to set off the recognized amounts ; and
- there is an intention either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

4.11.3. Value Added Tax (“VAT”)

Revenues, expenses and assets are recognized net of the amount of the associated VAT, unless the VAT incurred is not recoverable from the tax authority. In this case, the VAT is recognized as part of the cost of acquisition of the asset, or as part of the expense.

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Receivables and payables are stated inclusive of the amount of VAT receivable or payable. The net amount of VAT recoverable from, or payable to, the taxation authority is included with other receivables or payables in the Statement of Financial Position.

Cash flows are presented in the statement of cash flows on a gross basis. The VAT components of cash flows arising from investing and financing activities which are overable from, or payable to, the taxation authority, are presented as operating cash flows.

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4.11.4. Presentation and Disclosure

ASER shall present current and deferred tax related to profit or loss from ordinary activities as income or an expense in profit or loss for the period, except to the extent that the tax arises from a transaction or event which is recognized, in the same or a different period, outside profit or loss, either in other comprehensive income or directly in equity.

The company shall offset current tax assets and current tax liabilities if, and only if, the company:

- ☐ has a legally enforceable right to offset the recognized amounts; and
- ☐ intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

ASER shall disclose the following major components of tax expense or income separately.

- ☐ Current tax expense (income)
- ☐ Any adjustments recognized in the period for current tax of prior periods
- ☐ Amount of deferred tax expense or income relating to the origination and reversal of temporary differences
- ☐ Amount of deferred tax expense or income relating to changes in tax rates or the imposition of new taxes

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Amount of the benefit arising from a previously unrecognized tax loss, tax credit or temporary difference of a prior period that is used to reduce current tax expense

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- Amount of the benefit from a previously unrecognized tax loss, tax credit or temporary difference of a prior period that is used to reduce deferred tax expense
- Deferred tax expense arising from the write-down, or reversal of a previous write-down, of a deferred tax asset and
- Amount of tax expense or income relating to those changes in accounting policies and errors that are included in profit or loss in accordance with IAS 8 because they cannot be accounted for retrospectively.

References:

IAS1–Presentation of Financial Statements

IAS12–Income Taxes

VAT Proclamations 285/2002 and 609/2008

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4.12. LEASES

4.12.1. Definition

- Commencement date: is the date on which the company (its lessor) makes an underlying asset available for use.
- Fixed payments: are payments made by a lessee to the company or by the company to a lessor for the right to use an underlying asset during the lease term, excluding variable lease payments.
- Inception date: is the earlier of the date of a lease agreement and the date of commitment by the parties to the principal terms and conditions of the lease.
- Initial direct costs: incremental costs of obtaining a lease that would not have been incurred if the lease had not been obtained.
- Interest rate implicit in the lease: is the rate of interest that causes the present value of (a) the lease payments and (b) the unguaranteed residual value to equal the sum of (i) the fair value of the underlying asset and (ii) any initial direct costs of the company or its lessor.
- Lease: is a contractual part of a contract that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration.
- Lease incentives: are payments made by the company to a lessee associated with a lease, or there reimbursement or assumption by the company of costs of a lessee.
- Lease payments : are payments related to the right to use an underlying asset during the lease term including: (a) fixed payments less any lease incentives; (b) variable lease payments; (c) the exercise price of a purchase option; (d) payments

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of penalties for terminating the lease; and (e) payment under residual value guarantees.

- Lease term: is the non-cancellable period for which lessee has the right to use an underlying asset, together with both: (a) periods covered by an option to extend the lease; and (b) periods covered by an option to terminate the lease.
- Lessee: is the Company or other entity that obtains the right to use an underlying asset for a period of time in exchange for consideration.
- Incremental borrowing rate: is the rate of interest that a lessee would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment.
- Lessor: is the Company or any other entity that provides the right to use an underlying asset for a period of time in exchange for consideration.
- Right-of-use asset: is an asset that represents a lessee's right to use an underlying asset for the lease term.
- Short-term lease: refers to a lease that, at the commencement date, has a lease term of 12 months or less. A lease that contains a purchase option is not a short-term lease.
- Sub lease: refers to a transaction for which an underlying asset is re-leased by a lessee ('intermediate lessor') to a third party, and the lease ('head lease') between the head lessor and lessee remains in effect.
- Underlying asset: is an asset that is the subject of a lease, for which the right to use that asset has been provided by a lessor to a lessee.

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4.12.2. Nature

Identifying a Lease

As per IFRS16.9, at inception of a contract, ASER assess whether the contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time inexchange for consideration.

LeaseTerm

Asper IFRS 16.18,ASER determines the lease term as the non-cancellable period of a lease,together with both:

- a) periods covered by an option to extend the lease if the lessee is reasonably certain to exercise that option; and
- b) periods covered by an option to terminate the lease if the lessee is reasonable certain not to exercise that option.

4.12.3. Recognition

ASER as a Lessee

IFRS16.22 requires that, at the commencement date, a lessee shall recognize a right-of- use asset and a lease liability.

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4.12.4. Measurement

Initial Measurement

Initial Measurement of the Right-of-Use Asset

Asper IFRS 16.23, at the commencement date, a lessee shall measure the right-of-use asset at cost.

Initial Measurement of the Lease Liability

According to IFRS 16.26, at the commencement date, ASER measures any lease liability at the present value of lease payments that are not paid at that date. The lease payments shall be discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, ASER shall use its incremental borrowing rate.

Subsequent Measurement

Subsequent Measurement of the Right-of-Use Asset

Asper IFRS 16.29, after the commencement date, ASER shall measure the right-of-use asset applying a cost model.

Cost Model

Asper IFRS 16.30, to apply a cost model, a lessee shall measure the right-of-use asset at cost:

- a) less any accumulated depreciation and any accumulated impairment losses; and b)
- adjusted for any re-measurement of the lease liability specified in IFRS 16.36C.

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As per IFRS16.31, a lessee shall apply the depreciation requirement in IAS 16 in depreciating the right-of-use asset and as per IAS36.33 to determine whether the right of use asset is impaired and to account for any impairment loss identified.

Subsequent Measurement of the Lease Liability

According to IFRS16.36, after the commencement date, ASER shall measure the lease liability by:

- a) increasing the carrying amount to reflect interest on the lease liability;
- b) reducing the carrying amount to reflect the lease payments made; and
- c) re- measuring the carrying amount to reflect any reassessment or lease modification or to reflect revised in-substance fixed lease payments.

Illustration:

ASER leases a Bull Dozer, a Grader and an Excavator Machine for four years. The lessor agrees to maintain each item of equipment through out the lease term. The total consideration in the contract is ETB 6,000,000 payable, at the end of each year, in annual installments of ETB 1,500,000. The consideration includes the cost of maintenance services for each item of equipment. The rate implicit in the lease is not readily determinable and ASER's incremental borrowing rate is 10% per annum, which reflects the fixed rate at which the company could borrow an amount similar to the value of the right-of-use asset for a four year term. In making the lease arrangements, ASER has paid ETB 196,163 to brokers.

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Accounting for the lease by ASER involves the following treatments:

First, separation of the lease contract into lease and non-lease component

Several suppliers provide maintenance services for similar Bull Dozer, Grader and Excavator Machine. Accordingly, the observable stand-alone prices for the maintenance services with similar payment terms to those in the contract with lessor and the stand

Alone prices of the leases are determined to be as follows:

EquipmentItem	Stand-aloneMaintenancePrice	Stand-alone Lease Price

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	(Non-LeaseComponent)	(LeaseComponent)
Bull Dozer Machine	320,000	1,700,000
Grader Machine	160,000	1,020,000
Excavator Machine	720,000	2,080,000
Total	<u>1,200,000</u>	<u>4,800,000</u>
Relative Proportion	1,200,000÷6,000,000	4,800,000÷6,000,000
	20%	80%

Second:a llocate the annual installment payment to the lease components

The annual installment payments will be allocated to the non-lease and lease component at aproportion of 20:80 respectively based on the relative value of the non- lease and lease portion of the contract. Thus, annually, ETB 300,000 (20% * ETB 1,500,000) is paid for non-lease component i.e., for maintenance services and the remaining ETB 1,200,000 (80% * ETB1,500,000) is paid for the lease of the three equipment items.

Third, determine the present value of the four annual lease payments

Using the incremental borrowing rate of 10%, the ETB 1,200,000annual lease payments should be discounted resulting in the present value of ETB 3,803,837as shown in the table below:

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Year	1	2	3	4	Total
Periodic Rate	10%	10%	10%	10%	
Future Values	1,200,000	1,200,000	1,200,000	1,200,000	
Present Values	<u>1,090,909</u>	<u>999,173</u>	<u>590,157</u>	<u>781,616</u>	<u>3,803,837</u>

Fourth, record initial recognition of the lease agreement

At the commencement of the lease, ASER should pass the following journal entry to record the right-of-use asset, the related lease obligation and payment of cash to brokers.

Description	Debit	Credit
Right of Use Machinery	4,000,000	
Lease Obligation		3,803,837
Cash in Bank		196,163

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Fifth, record the subsequent measurement of the lease agreement

At the end of the first fiscal year, ASER shall record payment of the first installment, finance cost for the year and depreciation expense related to the lease asset as indicated below. (To assist in determining finance lease obligations, an amortization table needs to be prepared)

Year	Periodic Payments (A)	Finance Cost (B)	Principal Repaid (C)=(A-B)	Closing Balance
0		-	-	3,803,837
1	1,200,000	380,383.70	819,616.30	2,984,221
2	1,200,000	298,422.10	901,577.90	2,082,643
3	1,200,000	208,264.30	991,735.70	1,090,907
4	1,200,000	109,091.70	1,090,907	-

- Journal entry to record accrual of lease obligation as a result of unwinding:

Description	Debit	Credit
Finance Cost(P/L)	380,383.70	
Lease Obligation(SoFP)		380,383.70

- Journal entry to record the first lease payment:

Description	Debit	Credit
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Lease Obligation(SoFP)	1,200,000	
Cash inBank(SoFP)		1,200,000

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- Journal entry to record depreciation of the right-of-use machinery(ETB4,000,000 ÷4years) for the first year:

Description	Debit	Credit
Depreciation Expense(P/L)	1,000,000	
Accumulated Depreciation- Machinery(SoFP)		1,000,000

4.12.5. ASER as aLessor

Classification of Leases

According to IFRS16.61,a lessor shall classify each of its leases as either an operating lease or a finance lease. A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership of an underlying asset. On the other hand, a lease is classified as an operating lease if it does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset.

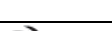
Finance Leases

Recognition and Measurement

Asper IFRS16.67, at the commencement date, a lessor shall recognize assets held under finance lease in its statement of financial position and present them as a receivable at an amount equal to the net investment in the lease.

Initial Measurement

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The lessor shall use the interest rate implicit in the lease to measure the net investment in the lease. Initial measurement of the lease payments included in the net investment in the lease. (IFRS16.68) Subsequent Measurement

A lessor shall recognize finance income over the lease term, based on pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease.

Operating Leases

Recognition and Measurement

A lessor shall recognize lease payments from operating leases as income on either a straight-line basis or another systematic basis. The lessor shall apply another systematic method if that basis is more representative of the pattern in which benefit from the use of the underlying asset is diminished. (IFRS16.81)

ASER as a lessee shall present the following items on its financial statements:

4.12.6. Statement of Financial Position:

In its statement of financial position, the company presents right-of-use assets, as a non-current asset, as a separate line

Presentation and Disclosure

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- Item and lease liabilities separately as current(current portion of the lease obligation)and non-current liability.
- Statement of Comprehensive Income: In its statement of comprehensive income, the company presents interest expense with other finance costs and amortization of right-of-use assets(disclosed by class of underlying asset).
- Statement of Cash Flows: In its statement of cash flows, the company presents cash payments of lease liabilities and related interest payments as financing activities.

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	Name:  Verasaw Abreham ዋና ሥራ አስኪፊ General Manager	

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ASER as a lessor shall present the following items on its financial statements:

- Statement of Financial Position: In its statement of financial position, the company presents lease receivable from finance lease and the underlying asset subject to operating lease according to the nature of the underlying asset.
- Statement of profit and loss: In its statement of profit or loss, the company presents finance income on the net investment and income from variable lease payments related to finance lease and lease income separated from income from variable lease payments associated with operating lease.

ASER as a lessee shall disclose the following information on its financial statements and notes to the financial statements:

- additions to right-of-use assets, carrying value of right-of-use assets at the end of the reporting period by class and maturity analysis of lease liabilities separately from other liabilities based on requirements of the policy on Financial Instruments– Disclosure;
- depreciation for assets by class, interest expense on lease liabilities, short-term and /or low-value leases expensed (which do not include leases with terms of one month or less), variable lease payments expensed, income from subleasing and gains or losses arising from sale and lease back transactions; and
- summary of the nature of its leasing activities; potential cash outflows the company is exposed to that are not included in the lease liability (e.g., variable lease payments; extension and termination options; residual value guarantees; and leases not yet

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commenced to which the lessee is committed); restrictions or covenants imposed by leases; and information about sale and lease back transactions.

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ASER as a lessor shall disclose the following information on its financial statements and notes to the financial statements:

- lease income, separately disclosing variable lease payments; disclosure requirements of the policy on PPE for leased assets, separating leased assets from non-leased assets; other applicable disclosure requirements based on the nature of the underlying asset (e.g.requirements of the policies on PPE,IP,Impairment of Assets);and maturity analysis of lease payments.
- selling profit or loss; finance income on the net investment; income from variable lease payments; qualitative and quantitative explanation of changes in the net investment; and maturity analysis of lease payments receivable;and
- nature of its leasing activities; how the lessee manages risks associated with those activities including risk management on rights retained in underlying assets; and risk management strategies of the company including buy- back agreements, residual value guarantees, variable lease payments for excessuse, and any other risk management strategies.

Reference:

IFRS16-Leases

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4.13. FOREIGN CURRENCY TRANSACTIONS

4.13.1. Definitions

- closing rate: is the spot exchange rate at the end of there porting period (Sene30 of each fiscal year).
- Fair value: is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.
- Functional currency: is the currency of the primary economic environment in which the entity operates. The functional currency inrespect of the ASER is the Ethiopian Birr (ETB).
- Monetary assets /liabilities: are assets and/or liabilities to be received or paid in a fixed or determinable number of units of currency.Examples include:
 - o financial assets such as cash, bank balances and receivables;
 - o financial liabilities such as debts and provisions that are settled in cash;
 - o deferred taxes and cash dividends that are recognized as aliability;
- Non- monetary assets/liabilities: are all items other than monetary items. In other words, the right to receive or deliver a fixed or determinable number of units of currency is absent in non-monetary items. Examples include the following:
 - o Intangible assets
 - o PPE
 - o Inventories
 - o Amounts pre paid for goods and services

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- o Equity investments
- o Provisions that are to be settled by the delivery of a non-monetary asset

□ Presentation currency: is the currency in which the financial statements are presented. The presentation currency in respect of the ASER is the Ethiopian Birr (ETB).

□ Spot exchange rate: is the exchange rate for immediate delivery.

4.13.2. Nature

ASER undertakes some of its transactions in foreign currency, mainly USDollars. This is generally in respect of the importation of items of inventory, plant and equipment. This policy is thus applied in instances of:

- Accounting for transactions and balances in foreign currencies; and
- translating the results and financial positions of any foreign operations: that are included in the company's financial statements by consolidation or equity accounting.

4.13.3. Functional Currency Approach

The company uses the functional currency approach in dealing with foreign currency translation. Items included in the financial statements of the company are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The financial statements are presented in Ethiopian Birr, which is the company's functional and presentation currency.

4.13.4. Initial Measurement

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All transactions that are under taken in a foreign currency are translated into the functional currency of the company (ETB). In accordance with IAS21.21, aforeign currency transaction is recorded on initial recognition in the functional currency by applying to the foreign currency amount the spot exchange rate between the functional currency and the foreign currency at the date of the transaction.The date of transaction is the date on which the transaction first qualifies for recognition.

4.13.5. Subsequent Measurement

Subsequent Treatment of Monetary Items

Per IAS21.23, monetary items held in aforeign currency shall be translated into the functional currency in the balance sheet at the closing rate. In instances where a monetary asset or liability has a rate of exchange that is fixed under the terms of the relevant contract, it cannot be used to translate the monetary assets and liabilities, as this is a form of hedge accounting.

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Subsequent Treatment of Non-Monetary Items

Per IAS21.23, non- monetary items that are measured in terms of historical cost in a foreign currency shall be translated using the exchange rate at the date of the transaction. Non-monetary items that are measured at fair value in a foreign currency shall be translated using the exchange rate at the date when the fair value was measured.

4.13.6. Recognition of Foreign Exchange Differences

Foreign exchange gains and losses arising from the settlements of foreign transactions or from the translation at each subsequent reporting period- end are recognized in the income statement according to IAS21.27.

When a gain or loss on a non- monetary item is recognized directly in equity, any exchange rate component of that gain or loss shall be recognized directly in equity. Conversely, when again or loss on a non-monetary item is recognized in the income statement, any exchange rate component of that gain or loss shall also be recognized in the income statement.

Reference:

IAS21–The Effects of Changes in Foreign Exchange Rates

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4.14. GOVERNMENT GRANTS

4.14.1. Definition

- Government: refers to government, government agencies and similar bodies whether local, national or international.
- Government assistance: is action by government designed to provide an economic benefit specific to an entity or range of entities qualifying under certain criteria.
- Government grants: are assistance by government in the form of transfers of resources to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity.
- Grants related to assets: are government grants whose primary condition is that an entity qualifying for them should purchase, construct or otherwise acquire long-term assets.
- Grants related to income: are government grant so other than those related to assets.

4.14.2. Recognition

As per IAS20.7, government grants (including non-monetary grants at fair value) are not recognized until there is reasonable assurance that:

- a) ASER will comply with the conditions attaching to them; and b)

the grants will be received.

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IAS20.12 states that government grants are recognized in profit or loss on a systematic basis over the periods necessary to match them with the related costs, which they are intended to compensate. Government grants are not credited directly to equity.

Per IAS20.20, a government grant that becomes receivable to compensate for expenses or losses already incurred or to give immediate financial support with no future related costs is recognized as income of the period in which it becomes receivable.

4.14.3. Presentation and Disclosure

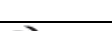
ASER shall present government grants for acquisition of assets in the statement of financial position as deferred income and periodically amortizes it to earned income in the statement of comprehensive income. Grants for reimbursement of expenditures are presented as part of profit or loss, either separately or under a general heading such as ‘Other Income’ or alternatively, they are deducted in reporting the related expense.

According to IAS20.39, the company shall disclose the following:

- the accounting policy adopted for government grants, including the methods of presentation adopted in the financial statements;
- the nature and extent of government grants recognized in the financial statements and an indication of other forms of government assistance from which the company has directly benefited; and
- unfulfilled conditions and other contingencies attached to government assistance that has been recognized.

References:

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IAS20-Accounting for Government Grants and Disclosure of Government Assistance

4.15. BORROWING COSTS

4.15.1. Definition

- Borrowing costs: are interest and other costs that an entity incurs in connection with the borrowing of funds.
- A qualifying asset: is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale.

4.15.2. Interest Expense

As per IAS 23.8, ASER expenses borrowing costs in the period in which they are incurred, except to the extent that they are capitalized in accordance with IAS23.11.

IAS23.11prescribes that borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalized as part of the cost of that asset.

4.15.3. Capitalization of Borrowing Cost

Asper IAS23.12, to the extent that funds are borrowed specifically for the purpose of obtaining aqualifying asset, the amount of borrowing costs eligible for capitalization on that asset is determined as the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investment of those borrowed assets.

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As per IAS23.14, to the extent that funds are borrowed generally and used for the purpose of obtaining a qualifying asset, the amount of borrowing costs eligible for capitalization is determined by applying a capitalization rate to the expenditures on that asset. The capitalization rate is the weighted average of the borrowing costs applicable to the borrowings of the entity that are outstanding during the period, other than borrowings made specifically for the purpose of obtaining a qualifying asset. The amount of borrowing costs capitalized during a period does not exceed the amount of borrowing costs incurred during that period.

4.15.4. Commencement of Capitalization

As per IAS23.17, the capitalization of borrowing costs as part of the cost of a qualifying asset is commenced when:

- a) expenditures for the asset are being incurred;
- b) borrowing costs are being incurred;and
- c) activities that are necessary to prepare the asset for its intended use or sale are in progress.

4.15.5. Suspension of Capitalization

As per IAS 23.20, capitalization of borrowing costs is suspended during extended periods in which active development is interrupted.

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4.15.6. Cessation of Capitalization

As per IAS23.22, capitalization of borrowing costs ceases when substantially all the activities necessary to prepare the qualifying asset for its intended use or sale are complete.

4.15.7. Disclosure

In relation to its borrowing cost, per the requirements of IAS23/26, ASER shall disclose:

- the amount of borrowing costs capitalized during the period; and
- the capitalization rate used to determine the amount of borrowing costs eligible for capitalization.

References:

IAS23-Borrowing Costs

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4.16. IMPAIRMENT OF ASSETS

4.16.1. Definition

- A cash-generating unit (CGU): is the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.
- Costs of disposal: are incremental costs directly attributable to the disposal of an asset or cash-generating unit, excluding finance costs and income tax expense
- An impairment loss: is the amount by which the carrying amount of an asset or a cash-generating unit exceeds its recoverable amount.
- The recoverable amount: of an asset or a cash-generating unit is the higher of its fair value less costs of disposal and its value in use.
- Value in use: is the present value of the future cash flows expected to be derived from an asset or cash-generating unit.

4.16.2. Nature

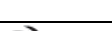
As per IAS 36.9, ASER assesses at each reporting date whether there is any indication that an asset may be impaired considering internal and external sources of information. If any such

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indication exists, the company shall estimate the recoverable amount of the asset and compare it with the carrying value of the same asset.

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4.16.3. Measuring Recoverable Amount

4.16.3.1. Value in Use

Asper IAS36.30, the following elements are reflected in the calculation of an asset's value in use:

- a) an estimate of the future cashflows the entity expects to derive from the asset;
- b) expectations about possible variations in the amount or timing of those future cash flows;
- c) the time value of money, represented by the current market risk-free rate of interest;
- d) the price for bearing the uncertainty inherent in the asset; and
- e) other factors, such as illiquidity, that market participants would reflect in pricing the future cashflows the entity expects to derive from the asset.

4.16.3.2. Composition of Estimates of Future Cash Flows

Compositions of estimates of future cashflows include:

- a) projections of cash in flows from the continuing use of the asset;

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b) projections of cash outflows that are necessarily incurred to generate the cash inflows from continuing use of the asset (including the cash out flows to prepare

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the asset for use) and that can be directly attributed, or allocated on a reasonable and consistent basis, to the asset;and

c) net cash inflows, if any, to be received (or paid) for the disposal of the asset at the end of its useful life.

As per IAS36.44, future cashflows are estimated for the asset in its current condition. Such estimates do not include estimated future cash inflows or outflows that are expected to arise from a future restructuring to which an entity is not yet committed or improving or enhancing the asset's performance.

Estimates of future cashflows do not include cash in flows or out flows from financing activities; or income tax receipts or payments as per IAS36.50.

4.16.3.3. Discount Rate

As per IAS 36.55, the discount rate is a pre-tax rate that reflects current market assessments of the time value of money; and the risk specific to the asset for which the future cashflow estimates have not been adjusted.

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4.16.4. Recognizing and Measurement

As per IAS 36.59, ASER recognizes impairment loss if and only if the recoverable amount of an asset is less than its carrying amount. In such cases the carrying amount of the asset is reduced to its recoverable amount. That reduction is an impairment loss.

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After the recognition of an impairment loss, the depreciation(amortization) charge for the asset is adjusted in the future periods to allocate the asset's revised carrying amount, less its residual value (if any), on a systematic basis over its remaining useful life.

4.16.5. Reversing an Impairment Loss

ASER assesses at each reporting date whether there is any indication that an impairment loss recognized in prior periods for an asset may no longer exist or may have decreased. If any such indication exists, estimate the recoverable amount of that asset as per IAS36.110.

Reversing an Impairment Loss for an Individual Asset /Cash-Generating Unit

As per IAS36.117, the increased carrying amount of an asset attributable to reversal of an impairment loss does not exceed the carrying amount that would have been determined (net of amortization or depreciation) had no impairment loss been recognized for the asset in prior years. A reversal of an impairment loss is recognized immediately in profit or loss.

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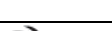
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Illustration:

On Hamle 01,2004, ASER purchased a building for ETB 20,000,000. Its estimated useful life at that date was 20 years and the company uses straight line depreciation method. On Sene 30, 2009, the government embarked on a plan to construct a fly-over adjacent to the building and the related installations reduced the access to the building there by decreasing the value of the building. The company estimated that it can sell the building for ETB 10,000,000 but it has to incur costs of ETB 500,000. Alternatively, if it continues to use it, the present value of the net cash flows the building will help in generating is ETB 12,000,000.

The accounting for impairment of the building is presented below:

First, ASER needs to determine the carrying amount. The building has a cost of ETB 20 million, useful life of 20 years and is used for 5 years so far. This means that accumulated depreciation is ETB 5,000,000 ($ETB\ 20,000,000 \div 20\text{ years} \times 5\text{ years}$). Carrying amount 15 million determined as 20 million minus 5 million.

Second, ASER needs to determine the recoverable amount. Recoverable amount is the higher of fair value less costs to sell and value in use. Fair value less costs to sell in this scenario is 10 million minus 500,000 that is 9.5 million. Value in use is the present value of future cash flows which amounts to 12 million. Thus, recoverable amount is the higher of 9.5 million and 12 million (i.e., 12 million).

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As carrying amount is 15 million while recoverable amount is 12 million, an impairment loss of 3 million will have to be recognized immediately in profit or loss. The journal entry as at 30,2009 would be:

Description	Debit	Credit
Impairment Loss (P/L)	3,000,000	
Accumulated Impairment Loss-Building		3,000,000

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Assume that in the 2009/10 fiscal period the government constructed a service road parallel to the fly-over which improved the recoverable amount to 14.6 million. Depreciation for the year ended Sene 30,2010 is ETB 800,000(the new carrying value after impairment of 12 million depreciated over the 15 years remaining use ful life of the building).

Carrying amount as at Sene 30,2010 is ETB 12 million minus ETB 800,000i.e., ETB11.2 million. At the year end, due to the construction of a service road, the recoverable amount of the building has in creased to ETB14.6 million which shows that the building has to be appreciated by ETB 3.4 million (i.e.,14.6 million –11.2 million). However, only ETB 3 million of this amount is to be credited to profit or loss (because the original impairment loss routed through profit or loss in the previous year was ETB 3 million).

The journal entry as at Sene30,2010 would be:

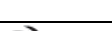
Description	Debit	Credit
Accumulated Impairment Loss- Building	3,000,000	
Impairment Loss Reversal(P/L)		3,000,000

4.16.6. Presentation and Disclosure

For each class of asset,ASER shall disclose the following;

- The amount of impairment losses recognized in profit or loss during the period and the line item(s) of the statement of comprehensive income inwhich those impairment losses are included

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- ☐ The amount of reversal of impairment losses recognized in profit or loss during the period and the line item(s) of the statement of comprehensive income in which those impairment losses are included
- ☐ The amount of impairment losses on revalued assets recognized in other comprehensive income during the period
- ☐ The amount of reversal of impairment losses on revalued assets recognized in other comprehensive income during the period
- ☐ The events and circumstances that led to the recognition or reversal of the impairment loss
- ☐ The amount of impairment loss recognized or reversed, the nature of the asset that is impaired

References:

IAS36-Impairment of Assets

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4.17. REVENUE FROM CONTRACTS WITH CUSTOMERS

4.17.1. Recognition

As per IFRS 15, ASER recognizes revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which ASER expects to be entitled in exchange for those goods or services.

The revenue of the company is generated mainly from the sale of construction work provided to projects in Ethiopia. Revenue is to be measured at fair value of the consideration received or receivable and represents the amounts receivable for goods and services provided in the normal course of the business, net of discounts and rebates, and value added tax.

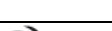
Revenue is recognized in a period when it is earned and when the right to receive the income is established, the economic benefit associated with the transaction will flow to the company and the amount of revenue can be calculated reliably.

ASER recognizes revenue at a point in time in accordance with IFRS 15.38, if performance obligations are not expected to be met overtime.

When ASER receives non-refundable up front payments in respect of future services, for instance, prepayments for production of asphalt mix, and customers do not exercise their contractual right (i.e. when ‘breakage’ occurs) it should recognize revenue as follows;

- If ASER expects to benefit from the breakage, it should recognize the expected breakage as revenue in proportion to the pattern of right exercised by the

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Customer (i.e.,by comparing the product delivered to date to those expected to be delivered over all)

- Recognize breakage as revenue when the likelihood of the customer exercising its remaining right is remote.

4.17.2. Steps in Revenue Recognition

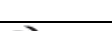
ASER recognizes revenue in accordance with the above core principle by applying the following 5 steps as identified in IFRS15.IN7.

- a) Step1-Identify the contract(s)with a customer
- b) Step2- Identify the performance obligations in the contract c)
- Step3-Determine the transaction price
- d) Step 4-Allocate the transaction price to the performance obligations in the contract
- e) Step 5-Recognize revenue when (or as) the entity satisfies a performance obligation

Step 1: Identifying the Contract

PerIFRS15.9, ASER shall account for a contract with a customer only when all of the following criteria are met:

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- a) the parties to the contract have approved the contract and are committed to perform their respective obligations;
- b) when ASER can identify each party's rights regarding the goods or services to be transferred;
- c) When ASER can identify the payment terms for the goods or services to be transferred;
- d) the contract has commercial substance (i.e. the risk, timing or amount of the entity's future cash flows is expected to change as a result of the contract); and
- e) it is probable that the entity will collect the consideration to which it will be entitled in exchange for the goods or services that will be transferred to the customer.

Step 2:Identifying Performance Obligations

Per IFRS 15.22, at contract inception, ASER shall assesses the goods or services promised in a contract with a customer and identifies as a performance obligation each promise to transfer to the customer either:

- a) a good or service (or abundle of goods or services) that is distinct;or
- b) a series of distinct goods or services that are substantially the same and that have the same pattern of transfer to customer.

SatisfactionofPerformance Obligations

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As per IFRS15.31,ASER shall recognize revenue when(or as) the entity satisfies a performance obligation by transferring apromised good or service (i.e.an asset) toa

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customer. An asset is transferred when (or as) the customer obtains control of that asset which may be at a point in time or over time.

Measurement

As per IFRS 15.46, when (or as) a performance obligation is satisfied, an entity shall recognize as revenue the amount of the transaction price that is allocated to that performance obligation.

Step 3: Determining the Transaction Price

As per IFRS 15.47, ASER considers the terms of the contract and its customary business practices to determine the transaction price. The transaction price is the amount of consideration to which ASER expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties (for example, some VAT and related taxes). The consideration promised in a contract with a customer may include fixed amounts, variable amounts, or both.

Step 4: Allocating the Transaction Price to Performance Obligations

As per IFRS 15.74, ASER allocates the transaction price to each performance obligation identified in the contract on relative stand-alone selling price basis.

Step 5: Recognize Revenue When/as Performance Obligation is satisfied

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ASER recognizes revenue when (oras) it satisfies a performance obligation.

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4.17.3. Contract Costs

Incremental Costs of Obtaining a Contract

As per IFRS15.91,ASER recognizes as an asset the incremental costs of obtaining a contract with a customer if ASER expects to recover those costs unless it decides to use a short-term practical expedient and expensed it.

Costs to Fulfill a Contract

In accordance with IFRS 15.95, if the costs incurred in fulfilling a contract with a customer are not within the scope of other standards like IAS2,IAS16orIAS38, ASER recognizes an asset from the costs incurred to fulfill a contract when such costs fulfill all of the following criteria:

- a) The costs relate directly to a contract or to an anticipated contract that the entity can specifically identify;
 - b) the costs generate or enhance resources of ASER that will be used in satisfying (or in continuing to satisfy) performance obligations in the future; and c)
- the costs are expected to be recovered.

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Asper IFRS 15.96, for costs incurred in fulfilling a contract with a customer that are with in the scope of another standard, ASER accounts for those costs in accordance with those standards.

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Asper IFRS 15.98, ASER recognizes the following costs as expenses when incurred:

- a) General and administrative expense;
- b) Costs of wasted materials, labor or other resources to fulfill the contract that were not reflected in the price of the contract;
- c) Costs that relate to satisfied performance obligations in the contract (i.e. costs that relate to past performance); and
- d) Costs for which an entity cannot distinguish whether the costs relate to unsatisfied performance obligation or to satisfied performance obligations.

Amortization and Impairment

Per IFRS 15.99, costs of obtaining a contract and costs of fulfilling a contract that are recognized as an asset in accordance with IFRS 15.91-95 shall be amortized on a systematic basis that is consistent with the transfer to the customer of the goods or services to which the asset relates. The asset may relate to goods or services to be transferred under a specific anticipated contract.

ASER shall recognize an impairment loss in profit or loss per IFRS 15.101, to the extent that the carrying amount of an asset recognized in accordance with IFRS 15.91-95 exceeds:

- a) the remaining amount of consideration that the entity expects to receive (transaction price) in exchange for the goods or services to which the asset relates; less

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b) the costs that relates directly to providing those goods or services that have not been recognized as expenses.

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ASER shall recognize in profit or loss, reversal of some or all of an impairment loss previously recognized when the impairment conditions no longer exist or have improved. The increased carrying amount of the asset shall not exceed the amount that would have been determined (net of amortization) if no impairment loss had been recognized previously. (Per IFRS 15.104)

4.17.4. Presentation and Disclosure

When either party to a contract has performed, ASER presents the contract in the statement of financial position as a contract asset or a contract liability, depending on the relationship between the entity's performance and the customer's payment. ASER presents any unconditional rights to consideration separately as a Receivable. (IFRS 15.105)

To aid users' understanding of its financial statements, ASER shall disclose the following items in relation to its contract with a customer:

- revenue recognized, impairment loss recognized on any asset from contract with customer and contract assets and liabilities;
- Disaggregating revenue recognized from contracts with customers into categories that depict how the nature, amount, timing and uncertainty of revenue and cashflows are affected by economic factors;
- contract balances and performance obligations,

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- explanation of significant changes in the contract asset and the contract liability balances during there porting period.
- transaction price allocated to outstanding performance obligations,
- significant judgmentsin applying this policy including performance obligation satisfaction, transaction price including allocation and determining capitalized contact costs,
- methods employed to determine transaction price and its allocation to performance obligations and measure progress towards satisfaction of performance obligation,
- assets recognized from costto obtain and/or fulfill contract with customer including method so famortization, closing balances by type of asset, amortization and impairment

References:

IFRS15-Revenues from Contracts with Customers

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SECTION V. CHART OF ACCOUNTS

5.1. OVERVIEW

A Chart of Accounts (COA) is an umericallisting of accounts that comprise ASER’s general and subsidiary ledger and it typically contains the names of the account, brief descriptions and a code identifying the account.

The COA of the company is basically a system for categorizing all of its accounts and classifying all transactions according to the accounts they affect. The list of categories in the COA may include assets, liabilities, equity, revenues, cost of goods sold, operating expenses, and other relevant items.

The purpose of setting up the COA is to classify the accounting information with insimilar groups for the purpose of simplification and extraction. Thus, ASER’s chart of account is set up so as to provide the right amount of detail in the financial reports for the users.

5.2. PRINCIPLES OF CHART OF ACCOUNTS

The Chart of Accounts is the foundation that the accounting system is built upon. Depending on the size of the company, the chart of accounts may include a few dozen accounts or it may include a few thousand. Regardless of the nature of the organization and the level of automation it has, COA should be well designed to meet the financial information needs of management and other stakeholders.

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The principles that should be considered in designing or improving COA areas follow:

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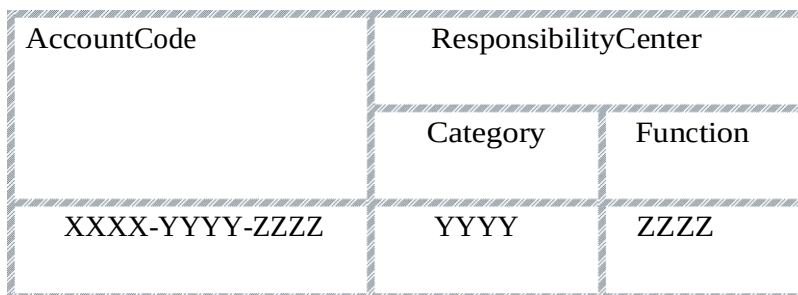
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- i. COA should be designed to meet the financial information and reporting requirements for internal users such as management and board, external users such as owners, lenders, regulators and tax authorities.
- ii. COA should be kept as simple as possible and yet designed with enough detail to provide the required financial information and reports.
- iii. The number of accounts in the COA should be kept under control; other wise, the process of simplification of information will not work.
- iv. There should be a logical number in the coding system that is flexible enough to allow adding accounts as necessary.

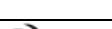
In general, the COA needs to be setup so as to provide the right amount of detail in the financial reports for the users by taking in to consideration the guides listed above.

5.3. CODING STRUCTURE

ASER's chart of account coding structure is a hierarchy outlined as Account Code-Category Code-Function Center as illustrated below:



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5.4. DESIGNING CHART OF ACCOUNTS

To design an appropriate chart of accounts for ASER, the responsibility center, budget line items and balance sheet accounts and profit or loss accounts should be considered.

The General Ledger accounts shall be arranged in the same sequence in which they appear in the financial statements. The location and value of each digit numeric character of the GL code (XXXX) has specific meanings. Below is a General description of the meaning of each digit.

- a) The first high light ed digit (XXXX) indicates the major classification of the account in the general ledger. The value of the digit indicates whether the GL account is an asset, liability, equity, revenue, and cost of sale or expense account. Accordingly 1XXX indicates asset, 2XXX, liability, 3XXX equity, 4XXX, revenue, 5XXX, cost of sales, 8XXX, expenses.
- b) The second high light ed digit (XXXX) indicates a sub-classification in the account
- c) Third and Fourth Digit (XXXX): The third and fourth digits indicate a further sub-classification of each major account.

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The sample GL account codes for the list of balance sheet and profit or loss accounts developed for are shown below. Details of the GL account codes for chart of accounts with their corresponding sub-ledger are annexed in this manual.

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Table:Sample General Ledger Coding

AccountCode		Descriptionsofaccount
1000-0000-000	1999-9999-9999	Assets
1100-0000-000	1699-9999-9999	CurrentAssets
1700-0000-000	1999-9999-9999	Non-CurrentAsset
2000-0000-000	2999-9999-9999	Liabilities
2100-0000-000	2599-9999-9999	CurrentLiabilities
2600-0000-000	2999-9999-9999	LongTermLiabilities
3000-0000-000	3999-9999-9999	Equity
4000-0000-000	4999-9999-9999	Revenue
5000-0000-000	5999-9999-9999	CostofSales
8000-0000-000	6999-9999-9999	Expenses

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